

Aptiv 2025 Investor Day Transcript

Aptiv 2025 Investor Day

November 18, 2025 | Live Event in New York City, NY

Hosted by Aptiv Investor Relations

OPENING REMARKS

Please welcome Vice President, Investor Relations, Betsy Miller Frank.

Betsy Miller Frank | Vice President, Investor Relations

Good morning, everyone. On behalf of the entire team at Aptiv, welcome to our 2025 Investor Day. Thank you all for being part of today's event – those of you who are here with us live in New York City, as well as those of you who are joining us via webcast. We have a great event lined up for you today.

In terms of the agenda, we've designed it to give you more insight into where the company is today, what New Aptiv will look like post the spin of our EDS segment, and what EDS will look like as a standalone company. We'll begin the day with a Strategic Overview from our Chair and CEO, Kevin Clark. Then we will move on to each of the New Aptiv segment leaders. Starting with Javed Khan, who leads Intelligent Systems; the segment formerly known as Advanced Safety and User Experience. He'll then pass it on to Joe Massaro, who leads Engineered Components. Our CFO, Varun Laroyia, will then tie those presentations into our financial profile.

Kevin will close out the New Aptiv portion of the presentations before we take a short 15 minute break. After that, we'll move on to Electrical Distribution Systems, where you will first hear from Joe Liotine, President of that business. And then Varun will present the EDS financials. We'll then have all speakers join on stage for about 30 minutes of Q&A. And then we will serve lunch.

But before we begin, it is my duty to direct your attention to the forward-looking statements here on the screen because during today's presentation, we will be providing certain forward-looking information that represents Aptiv's current view of future financial performance and may differ materially for reasons that we cite in our Form 10-K and other SEC filings.

Today's review of our financials excludes amortization, restructuring, and other special items, and will address the continuing operations of Aptiv. The reconciliation between GAAP and non-GAAP measures are included at the back of the slide presentation, which can be found on our Investor Relations website.

With that, let's begin.

[Investor Day Introduction Video]

STRATEGIC OVERVIEW

Kevin P. Clark | Chair & Chief Executive Officer

Thank you, and good morning, everyone, and welcome to Aptiv's 2025 Investor Day. It's a pleasure to have all of you with us here today. We have a lot to share, and we have a large swath of the management team that you're going to hear from – the business leaders who are really driving Aptiv forward.

So I'm going to start by talking about how we've positioned the business, how the environment that we're operating in has evolved, and how we've aligned our product portfolio, as well as our operating model, accordingly. I'm then going to talk about

Aptiv 2025 Investor Day Transcript

our plan to separate into two independent public companies, and how that positions each business to increase shareholder value. I'll start with a brief overview of our Electrical Distribution Systems business, or EDS, before Joe Liotine, President of EDS, will provide a deep dive review later in the day.

I'm going to spend most of my time on New Aptiv, covering the growth drivers and how our unique product portfolio and our operating model are positioned to deliver value for our customers, as well as for our shareholders.

Over the past decade, we've transformed Aptiv from an automotive supplier into a diversified industrial technology company, providing advanced software, as well as optimized hardware, solutions that meet the evolving needs of our customers – and that's increasingly across multiple end markets. At the same time, we've built a business with a very robust operating model that leverages our global engineering capabilities, our supply chain, manufacturing, as well as our commercial capabilities, maximizing our operating efficiencies, and ensuring flawless execution for our customers each and every day. And all of that's resulted in revenue and earnings growth, as well as cash flow generation that's translated into shareholder value creation.

So I'll now move to provide a little bit of context on the Automotive industry – how it's evolved over the past few years and where we believe it's headed from now until the end of the decade. Since 2022, our total addressable market for automotive has grown at a compound annual rate of 7%, including low single digit growth in vehicle production. And when you dissect that, virtually all of that has occurred with strong growth in the China market. Content growth added another 4 points, driven by increasing levels of electrification, active safety, as well as software-defined features in the vehicle.

Now, over the next five years, we expect our total addressable market in Automotive to continue to grow, but it is going to grow at a moderated growth rate of 4%; reflecting 1% growth in vehicle production, which is pretty balanced across all geographic regions, and another three points of growth from vehicle content.

Now the secular tailwinds in and of themselves have not changed relative to a few years ago, the drivers of growth are really the same, but the shape of the adoption curve has changed, with some technologies taking longer than originally expected to materialize.

So, a few examples. The pace of EV adoption has slowed, especially in North America, and to some extent in Europe, due to changing regulatory policies, lack of infrastructure, as well as some changes in consumer preferences, causing OEMs to scale back on their investments in EV platforms. This has resulted in a slowdown in the development of new optimized vehicle architectures and has impacted the pace of the transition to the software defined vehicle.

Although the adoption curve for these technologies has been slower than originally forecasted, we can assure you the underlying secular trends do continue. And if you look out beyond the next five years, it's our view that the pace of adoption will actually accelerate.

For Aptiv, these dynamics are leading to growth opportunities that vary between our business segments. And we're focused on positioning each one of them accordingly.

In terms of the value delivered to our customers, Intelligent Systems, which Betsy just mentioned was formerly known as Advanced Safety and User Experience, as well as our Engineered Components business, provide productized solutions. And our value proposition comes from delivering technology innovation at very high quality and at optimized costs. In contrast, our EDS segment provides unique program-oriented vehicle architecture solutions. And our value proposition is really anchored on process innovation and systems design expertise, executed flawlessly and enabled by our proprietary tools, which Joe will talk about later.

The product orientation of Intelligent Systems and Engineered Components are more easily leveraged into other end markets where we've already established a meaningful presence through a series of acquisitions. On the other hand, EDS is in the early stages of end market expansion, which to-date has principally been in the Commercial Vehicle market.

Aptiv 2025 Investor Day Transcript

Fully leveraging each segment's unique capabilities to capitalize on the different opportunities requires different strategies and capital allocation priorities. For Intelligent Systems, this includes enhancing our sensor-to-cloud technology stack, in both software and hardware, leveraging Wind River's leadership position in Aerospace & Defense, Telecom & Datacom, and Diversified Industrial markets, and expanding the breadth of our ecosystem partnerships. For Engineered Components, this includes leveraging our traditional interconnect portfolio across current Winchester and HellermannTyton positions in Other Industrials markets, where we're seeing customers increasingly looking for bundled system solutions, and enhancing our competitive position across end markets through bolt-on acquisitions. Lastly, for Electrical Distribution Systems, this principally means further strengthening our leadership position in the Automotive market through organic investment in our portfolio of products and capabilities, and leveraging our leadership position to drive synergistic consolidation in the Automotive market.

Our assessment of the opportunities and the differing strategies needed to ensure commercial success and shareholder value creation led to our decision to separate EDS through a tax-free spin-off into a new public company, creating two optimally positioned, independent public companies, with increased flexibility to pursue their own unique market opportunities and capital allocation strategies.

New Aptiv is a higher growth, higher margin company with strong cash flow generation and meaningful exposure to multiple end markets. Our EDS business is the market leader in electrical architectures, with solid revenue growth and a best-in-class margin profile.

Now, let's look a bit more closely at each of these businesses, and I'm going to start with EDS.

As I said, our EDS business is the industry leader for low-voltage and high-voltage signal, power, and data distribution solutions for the Automotive industry, with \$8.6 billion in revenues, driven by its exposure to the right customers, reflected in its commercial relationships with each of the top ten global OEMs and revenue from content on 21 of the top 25 vehicle platforms globally.

Roughly 75% of EDS revenues are from programs where it has significant responsibility for vehicle architecture design, translating into more optimized solutions that result in lower costs for our OEM customers and higher margins for EDS.

The EDS value proposition is compelling. First, its unique ability to design optimized electrical architectures, enabled by deep technical expertise and proprietary tools, supports strategic engagement with OEM customers. And second, the robustness and global scale of its operating model enables the company to execute flawlessly and rapidly adapt to change. This translates into the development and delivery of industry-leading solutions, at an optimized cost, with consistently high service levels, resulting in an industry-leading financial profile.

Now let's touch on the priorities for EDS as it becomes an independent public company. As Joe Liotine will review in greater detail later, we're confident that the spin-off will result in increased shareholder value, as EDS further enhances its competitive position and ability to provide differentiated value to OEM customers to gain market share, continues to optimize its cost structure through footprint consolidation and rotation, as well as manufacturing process automation, and executes its disciplined capital allocation strategy that enables both organic and inorganic investments, as well as competitive capital returns to shareholders.

Let's now turn to New Aptiv, which represents more than \$12 billion in diversified revenues across two segments – Intelligent Systems and Engineered Components. New Aptiv has a strong underlying customer base, which utilizes a broad portion of our product portfolio across both business segments, and has content on the leading platforms across automotive, commercial aerospace and telco networks. Roughly, 24% of New Aptiv's revenues come from markets outside of Automotive, and approximately \$600 million of our revenue is generated from accretive software solutions that are growing mid-teens.

Our strategy to create shareholder value is underpinned by the alignment of our product portfolio to the secular trends that are impacting multiple industries. The trends have been transforming the Automotive market are transforming multiple other

Aptiv 2025 Investor Day Transcript

industries, and the product portfolio we've built is increasingly relevant across multiple markets, presenting an opportunity which is very large and growing.

And we deliver our products through a resilient operating model, including our unique systems-level engineering, global manufacturing, and supply chain capabilities that deliver unmatched performance at optimized cost, setting us apart from our competitors, which is reflected in our attractive financial profile that includes strong revenue growth, margin expansion, and cash flow generation, and provides opportunities to further unlock shareholder value through disciplined capital allocation, which Varun Laroyia will expand on later.

Now, let's look more closely at the secular drivers impacting the end markets we serve. For over a decade, we've been positioning our product portfolio to benefit from the Safe, Green, and Connected secular trends transforming the Automotive market. And over that time, they've evolved.

For example, Safe originally defined the automation behind functionality such as automatic emergency braking. Today, that same automation has expanded to include features such as hands-free driving. Green once met the adoption of battery electric vehicles. Today, Green has expanded to include the transition to hybrids, plug-in hybrids, as well as traditional hybrids. And lastly, Connected originally reflected consumer demand for 5G and Wi-Fi connected vehicles. Today, Connected has evolved to represent consumer expectations for an in-vehicle experience that is akin to what they have with their mobile phones.

Today, we believe a more accurate description of the secular trends providing a tailwind for growth are Automation, Electrification, and Digitalization, which extend into a broader range of end markets. Automation extends into applications such as robots and manufacturing facilities, drones for commercial and defense applications, and other increasingly autonomous systems across diversified industrial applications. Similarly, Electrification extends beyond hybrids and electric vehicles to other increasingly electrified devices, as well as the infrastructure that supports them, such as data centers and energy storage systems. And lastly, Digitalization extends beyond seamless connectivity to devices and systems becoming increasingly software-defined, continuously updatable and able to leverage AI to deliver insights, transform operations, and unlock value.

These broader secular trends create similar product requirements for mission-critical applications across multiple industries. Whether it's a vehicle, a plane, a robot, a drone, data center, or a manufacturing plant, the trends are driving the need for more intelligence at the edge, which requires both advanced software, as well as optimized hardware.

The advanced software must deliver adaptable intelligence into physical systems and be built on a modular open architecture, while ensuring rigorous safety and security standards. The optimized hardware must include scalable computing power to handle increased data and performance demands, as well as components that balance, size, weight, and power without compromising reliability. For mission critical applications, where failure is not an option, devices need this integrated software and hardware to interpret data, make decisions, take action, and improve over time. And that's what our portfolio does.

As the secular trends of Automation, Electrification, and Digitalization transform markets, the capabilities we enable actually become broader. Our portfolio of Engineered Components, Sensors & Compute, and Software & Services brings intelligence to the edge and enables a wide range of devices to Sense, Think, Act, and Optimize.

By Sense, we mean enabling devices to accurately perceive and monitor their surrounding environment. By Think, we mean using that perception to make intelligent, real-time decisions, increasingly leveraging AI. Act is where the intelligence becomes action, the result of safe and reliable operation of increasingly software defined systems. And lastly, Optimize reflects how this performance, and the cost to enable it, are continuously enhanced over the lifecycle of these devices. This framework of Sense, Think, Act, and Optimize captures how our portfolio of products and our capabilities actually come together today to deliver value.

As you can see on this next slide, we already have an established presence across multiple end markets, and we're making investments to further penetrate and unlock new growth opportunities.

Aptiv 2025 Investor Day Transcript

With our roots in Automotive, Aptiv first expanded into the Commercial Vehicle market; and together, they comprise Core Mobility, where we have a comprehensive product offering across both of these markets. Outside of Core Mobility, we serve three other end markets, which we collectively refer to as Other Industrials, where revenue growth is faster and margin profiles are higher, and where we see significant opportunity to drive profitable growth.

To pursue this opportunity, we're enhancing our product portfolio, we're expanding our go-to-market capabilities, and we're leveraging our ecosystem partners. Now let's turn to some specific examples by industry.

As Javed Khan, President of the Intelligent Systems business, will discuss shortly, our ADAS full-system solution is a great example of how we're developing optimized solutions for both performance and cost, that serve as a foundation for many of the capabilities we can apply to applications in other markets.

Aptiv's industry-leading radar and vision sensors deliver robust perception across dynamic environments. And as Joe Massaro, President of our Engineered Components business, will explain, our portfolio of engineered components enables the data from these sensors to be transmitted at high speed and fidelity to our scalable advanced compute platforms, which host our AI/ML-powered software stack, which interprets the data and makes intelligent decisions to safely navigate complex driving scenarios.

And we continuously optimize the performance of our ADAS full-system solution with our industry-first end-to-end DevOps platform, Wind River Studio; and the high performance of the system is enabled with a scalable, open architecture that gives our OEM customers flexibility, while also providing them with significant cost savings, enabling Aptiv to build an industry-leading portfolio of ADAS products that are deployed on more than 70 million vehicles that are actually out and on the roads today.

Aptiv enables the same capabilities for customers in the Commercial Aerospace market that we deliver in the Automotive market. Take for example avionics. Our interconnects and assemblies ensure that the critical signals, such as air speed, position, and nearby traffic, are reliably transmitted from sensors around the aircraft to the avionics system, which is powered by our virtualization software and real-time operating system, enabling safe, intelligent, and real-time flight control and navigation decisions based on those sensor inputs.

In addition to providing software that certified to the absolute highest safety standards, we also provide customers with modeling and simulation tools that increase their engineering productivity, accelerate development timelines, and reduce their costs. Now Aptiv is enabling these capabilities for all of the leading global Aerospace manufacturers. And our solutions are deployed across the top ten commercial aircraft models that are in service today.

Turning to the Telecommunications industry, and more specifically, 5G – the backbone of next-generation connectivity. Virtualizing 5G networks is an area of investment for the telco industry today, as operators seek to create more flexible, scalable, and cost-effective infrastructure that can support new services, applications, and revenue streams. The leading 5G virtual RAN and open RAN deployments in the world today are powered by Wind River software, which enables intelligent, real-time orchestration and lifecycle management of thousands of virtualized, distributed network nodes.

In addition to delivering six-nines reliability, we provide advanced analytics and automation tools that help operators predict issues, improve network performance, and reduce network operating costs. And Aptiv's highly engineered fiber and cable protection systems ensure that critical data is reliably transmitted across the physical layer of these 5G networks. With a unique portfolio enabling both the physical, as well as the digital, foundation of 5G, Aptiv technology is deployed in the infrastructure of each of the top five telecom operators in the US and Europe today.

As you can see on the prior slides, Aptiv is already enabling devices to Sense, Think, Act, and Optimize, at scale, across multiple end markets. But as the Automation, Electrification, and Digitalization trends accelerate, the growing demand for intelligence on the device – or at the edge – is presenting new opportunities. As a result, we're enhancing our sensor-to-cloud portfolio to deliver advanced capabilities for next-generation, highly automated, and electrified edge devices, such as robots and drones, while also supporting their cost-effective production at scale.

Aptiv 2025 Investor Day Transcript

And together with our ecosystem partners, we're strengthening our edge software platform to enable the deployment of advanced AI models in embedded systems, while also providing the edge-to-cloud connectivity required to enable rapid data telemetry, model training, and lifecycle management.

Lastly, as data center infrastructure scales to train and run these complex AI models, demand is rising for software platforms and interconnects that deliver the power, speed, and reliability these workloads require; and Aptiv is very well-positioned to meet all of these needs.

In summary, we're investing in our portfolio of products and solutions to capitalize on opportunities from the emerging intelligent edge, while also continuing to leverage our ecosystem partners to help accelerate our efforts.

Enabling devices across multiple end markets adds more than \$100 billion to our addressable market, almost doubling the size to \$240 billion, as reflected on this slide. Importantly, these markets are growing faster and have higher margins, complementing our presence in the Automotive market.

Now we leverage our operating model to fully maximize the benefits of our product portfolio, enabling us to deliver solutions efficiently and at scale. Our operating model comprises four key pillars that are fully aligned and integrated to drive increased value, including our industry-leading engineering and systems-level capabilities, our globally integrated in-region, for-region supply chain, the global scale of our manufacturing footprint, and lastly, our strong commercial capabilities that enable us to execute our full value proposition; each of which are critical to delivering high-performance, cost-effective solutions that scale for our customers and provide a meaningful competitive advantage for Aptiv.

Javed Khan and Joe Massaro will expand on how we leverage our operating model in their respective businesses a little bit later, but allow me to provide an initial high-level overview.

Starting with our engineering and systems capabilities, we're focused on developing productized, open-architected solutions which can be easily customized to meet the unique needs of our customers. These modular solutions enable higher reuse, and, when combined with our well-defined product roadmaps, help to deliver advanced functionality at a lower cost.

We must not only develop these advanced solutions, but also we have to commercialize them. And to do this, we leverage decades of our experience in complex and highly regulated end markets, world-class technical resources that we have on a global scale, and our engineering factory that's driven by our proven digital tool chains, which we have further enhanced through the adoption of artificial intelligence. As a result, we develop and commercialize the software-defined solutions our customers require at the quality and cost our customers expect.

Our product design and development activities are closely aligned with our in-region, for-region supply chain strategy. Today's rapidly changing geopolitical and trade landscape makes the value of our resilient supply chain more important than ever. Our teams have the tools and capabilities to ensure we can anticipate supply issues and have plans to mitigate them before they cause disruption.

We have built a digital twin, a live digital map of our global supply chain, down to the sub-tier supplier levels. And we use local intelligence to identify where there is potential risk. Our supply chain capabilities are a significant differentiator across all the markets we serve, and are an important part of the value proposition to our customers.

Our supply chain is also very deeply integrated into, and leverages, our global manufacturing scale and our in-region, for-region manufacturing model. Nearly a decade ago, we began to rotate our global best-cost manufacturing model towards a more regionalized model, given the evolving geopolitical and trade landscape at the time, which has paid huge dividends in this current environment.

We have 76 manufacturing sites globally, principally located in best-cost countries, which, in addition to our automation and digitalization capabilities, enable us to produce advanced technologies at low cost, making our manufacturing scale an important part of our commercial value proposition, which is where we'll turn next.

Aptiv 2025 Investor Day Transcript

Sustainable commercial success requires a very deep understanding of evolving customer needs and the right relationships to support a more strategic collaboration. Our commercial capabilities are underpinned by a robust account-based approach, which empowers our regional organization to serve as the front line of our customer engagements, which ensures customer centricity, accelerates decision making, and enhances operating execution. We continue to position ourselves with the right product, for the right customers, on the right programs, and in the right markets.

The alignment of our product portfolio to the broader secular trends that are providing a tailwind for growth across the markets we serve, and our ability to leverage our operating model to develop and deliver our products and solutions efficiently and at scale, has enabled us to build a strong financial foundation for the New Aptiv; reflected in our 2025 outlook of over \$12 billion in revenues, roughly 24% of which are from outside of Automotive, growing high-single digits, and \$600 million of which are software revenues, growing mid-teens, EBITDA totaling \$2.3 billion, representing a 19% EBITDA margin, pro forma earnings per share of \$5.50, and free cash flow of approximately \$1 billion, providing a great starting point for the New Aptiv, and a solid financial foundation from which we can further enhance our already attractive financial profile.

Varun will talk more about our financial outlook in greater detail later, but we're relentlessly focused on enhancing our financial framework, which encompasses delivering strong revenue growth and margin expansion, which translates into mid-teens earnings per share growth and significant free cash flow generation, reflected in our 100%+ cash flow conversion, positioning us to create incremental shareholder value through disciplined capital allocation, including organic and inorganic investments, as well as returning excess cash flow to shareholders.

Now, I'm going to hand it off to Javed and then to Joe, before Varun walks you through the financials. I'll then come back on stage and wrap up the New Aptiv portion of the day, before we begin Joe Liotine's more detailed review of EDS. So with that, I'd like to welcome Javed to the stage to talk about our Intelligent Systems business.

INTELLIGENT SYSTEMS

Javed Khan | Executive Vice President & President, Intelligent Systems

Thank you, Kevin. Good morning, everyone. I'm Javed Khan, President of Intelligent Systems, previously known as Advanced Safety and User Experience.

We play a central role in enabling the next-generation of systems in Autos, and increasingly a broader set of end markets with very similar needs. Now, as we grow beyond Auto, we realized that the segment naming needed to evolve. So this change is a metaphor for how our business has transformed, and better reflects how we are enabling transformations for our customers.

Let me start by setting the stage for what I will cover today. We'll explain how the secular trends are resulting in a demand for increasingly capable software and hardware solutions. And this is best represented by the transition to software-defined vehicles, but it's increasingly prevalent in a range of other applications where software and hardware must come together to deliver a new intelligent edge tech stack. Our experience commercializing safety-critical applications, such as autonomy, which require advanced perception, compute, and software have given us insights, making us a partner of choice for a wide range of end markets. Our product portfolio is highly relevant and our operational expertise across software development, supply chain, and manufacturing give us additional competitive advantages.

Let me start with a brief overview of this segment. We are a leading provider of technology solutions, with content on many of the top vehicle platforms, but also, in aircrafts and telco networks. While our historical presence has been in Automotive, we have a growing portion of our revenues from a broader set of strategic end markets. And the acquisition of Wind River, along with the push up the auto tech stack, has resulted in a \$600 million software business today.

Picking up on the secular trends that Kevin talked about earlier. Automation, Electrification, and Digitalization are converging across multiple end markets, resulting in demand for increasingly capable solutions at the edge, such as self-driving cars,

Aptiv 2025 Investor Day Transcript

autonomous delivery drones, and industrial robots. Each of these requires a tech stack consisting of advanced software and hardware to enable them.

Intelligent edge devices need to be able to sense, think, and act without human intervention. And they need to be continuously optimized over their full lifecycle. Let me explain as an example that we are all familiar with – the modern car. Vehicles need to be able to observe their surroundings, process what they're seeing, make intelligent decisions, and then carry out those decisions in real-time. And consumers expect that vehicles will evolve and improve, just like their other electronic devices.

In fact, all intelligent edge devices must do this, and it requires a new integrated tech stack. It means advanced sensors so that the device can perceive its surroundings, high-performance compute to operate powerful software applications and AI, a robust operating system and middleware for abstracting software from hardware, and intelligent software applications that use AI/ML to deliver that functionality. And finally, you also need cloud tooling to deliver connectivity, generate insights, and then support the development of AI models.

We have already built this tech stack in Automotive. And in many cases, we are on our second or third generation of applying it, allowing us to focus on ongoing feature updates and enhancements. Now let me explain how we are applying layers of our tech stack to other end markets.

We've held a leading position with automotive sensors and compute for over two decades, and our software applications layer across both active safety and digital cockpit is capable and proven. More recently, with the acquisition of Wind River, we filled out the tech stack with a robust operating system and a cloud platform. Our prior product line structure reflected this fully integrated, vertical tech stack within Automotive, and we have product lines for Active Safety, User Experience, and Smart Vehicle Compute & Software.

However, with the emergence of the intelligent edge beyond Automotive, and the access to broader markets provided by our Wind River customer base, we are well positioned to expand into new industries like drones in Aerospace & Defense, software infrastructure in Telecom & Datacom, and warehouse robotics in Industrials, all of which I'll cover in the next few slides.

But as we transition to pursue these opportunities in these diversified end markets, we will be shifting our focus from our automotive-centric product line to two new product lines – Sensors & Compute and Software & Services. But before I get into these expanded end markets, let's first talk about our core solutions within mobility.

Our Gen 6 ADAS platform was designed to be modular and scalable, giving our customers the flexibility to optimize both functionality and cost. We were the first technology provider to deliver a turnkey hands-free ADAS solution; and today, we have more than 4 million L2+ systems shipped worldwide.

Let's break down how we create value for our customers. Our world-class sensors offer 360-degree perception in all weather and lighting conditions, and we leverage both radar and vision. We recently launched our eighth generation of radars, delivering market-leading performance thanks to our proprietary antenna and silicon IP.

Our modular compute offerings provide semiconductor flexibility for our customers, with over seven different vendors supported on our ADAS controllers. An example of why this is important is we are now able to deliver a fully localized China-for-China solution.

And our software stack delivers ML-based perception, multi-sensor fusion, and human-like driving experiences. In fact, given enhancements in compute, generative AI and efficient data collection, future deployments for ADAS systems will utilize a full end-to-end AI approach that will deliver dramatic improvements in performance, but also a better experience.

And finally, the Wind River operating system and cloud-based tooling complete the ADAS stack.

With over \$3 billion in Active Safety revenues and 20+ OEM customers using our ADAS products today, we've built a strong foundation. And looking ahead, we expect continued strong growth in this business, primarily driven by program extensions and new product launches.

Aptiv 2025 Investor Day Transcript

Let's switch gears and take a look inside the cockpit. In-Cabin User Experience is actually a collection of a few different domains, each with slightly different requirements. The driver information domain delivers mission-critical warnings, vehicle information and dashboard telltales; in-vehicle infotainment enables non-critical comfort and convenience features; and interior sensing monitors the driver and cabin environment.

These related, but separate, domains provide a significant opportunity to apply modern software development methodologies to create value. For example, as driver monitoring is increasingly required, we can now use the same camera to offer incremental functionality, such as vision-based occupant detection, which would then eliminate the cost of traditional in-seat hardware solutions and replace it with software.

With the delivery of over 16 million driver and cabin monitoring systems to-date, and further enhancements planned in our product roadmap, this is a significant opportunity. At the same time, our infotainment offerings enable deep personalization and better integration into consumer ecosystems.

We've got a strong pipeline of over \$20 billion of new business opportunities across In-Cabin User Experience. And while the last few years have been challenging for User Experience as a result of some program roll-offs, we anticipate the business to return to growth next year, driven by increased software-defined functionality and interior sensing content.

So, transitioning to Smart Vehicle Compute & Software, we were the first to introduce a clean sheet vehicle architecture to support the transition to software-defined vehicles. This was Smart Vehicle Architecture™ or SVA™. Our SVA™ hardware portfolio includes zone controllers and high-performance compute, which simplify hardware complexity.

But SVA is also about software, where we recognized the need to abstract and serverize hardware from the applications it supports, and this was ultimately realized with the addition of Wind River. This is important to enable faster and continuously updated lifecycles for software, as well as to have flexibility with hardware, particularly for things like SoCs and sensors.

SVA is also critical as traditional domains start to merge – or fuse – to enable new functionality. For example, the increasing prevalence of hands-free driving means that the driver and the vehicle must work collaboratively, managing hand offs while delivering clear information to the driver. And this is an area where Aptiv is uniquely positioned as a leading provider of ADAS, user experience, and middleware. Our solutions make this easy with modular software, standardized APIs, and compute platforms capable of running these diverse workloads.

Now, while we've seen the industry take a little longer to migrate to these optimized vehicle architectures, as a result of the slowdown in electrification, we remain highly confident that the longer-term trend is still intact, as evidenced by the faster adoption in China, with OEMs such as Geely and Chery, where we are winning, and our opportunity pipeline, which is roughly \$15 billion across approximately 40 different programs, representing multiple customers and regions.

The fact is, we're accustomed to challenges of leading innovation; and over the long-term, it has generated an unmatched track record, as you will see on the slide.

We've consistently brought technologies to market that enable intelligence at the edge in Autos. Importantly, these innovations didn't just add functionality or improve performance, but they also delivered significant cost savings, allowing OEMs to then commercialize advanced features across a broader set of vehicles. As a result, the Auto industry has effectively led the way in edge intelligence. And 2025 will be a record year, with over 45 million vehicles at Level 2 ADAS or higher globally, many of which are enabled by Aptiv.

In contrast, other edge applications, such as highly automated drones and robots, are still in the early stages of growth. But just like in the early days of ADAS, we see tremendous potential for Aptiv to accelerate the commercialization of these emerging applications. Let's take a look at a few that we are particularly excited about.

Aptiv 2025 Investor Day Transcript

Industrial robots share a few of the same sub-systems as vehicles. They need to perceive the environment. They need to identify objects and obstacles. And then, they need to navigate autonomously, often in close proximity to people. And they need to be continuously connected into the broader IT and OT ecosystem.

We are in active discussions with more than a half a dozen robotics manufacturers. An example of this is the collaboration we announced with Robust.AI last week. The Robust team is integrating our innovative PULSE™ sensor, which will allow their industrial robots to have a much more comprehensive field of view at a substantially lower cost.

In fact, early engagements with Robust and other similar companies suggest that we can deliver significant savings, in addition to the scale and the supply chain benefits we offer. We're also working to deploy our AI-powered perception, fusion behavior, and path planning software onto these robots to deliver enhanced autonomy.

Ultimately, our ability to deliver higher performance at a lower cost extends to a wide range of industrial automation and robotics applications, which need to interact in real time with the physical world.

Now, these devices, in turn, are creating new demands for the infrastructure that supports them, such as 5G telco networks. Wind River is a leader in decoupling software from hardware, enabling network providers to leverage off-the-shelf hardware and to avoid vendor lock-in.

With our Wind River cloud platform, we are orchestrating some of the world's largest 5G radio access networks, or vRANs. And this proven, scalable technology gives us the confidence to take our orchestration capabilities to new markets. This most directly impacts the Optimize phase that we discussed earlier. We want to enable our customers to deploy their edge applications and AI models, manage and collect the data they generate, and then allow them to push updates and enhancements back to the edge, all with extremely high reliability and automation.

As a result of the current and the emerging markets I just addressed, we expect our core Automotive TAM will grow at about a 6% CAGR and reach \$95 billion by the end of the decade. But what's even more exciting is that our targeted adjacencies, we estimate, are growing at double-digit CAGRs and add a cumulative \$60 billion in new addressable opportunities. While we remain selective in the specific applications we target, our productized approach allows us to quickly and efficiently scale into these new markets.

Now, as Kevin outlined, our success in capturing this significant opportunity depends on our ability to execute. To that end, operational excellence is at the forefront of everything we do. But before I go into more detail, let me share a brief video, which summarizes our execution capabilities.

[Intelligent Systems – Operational Excellence Video]

So starting with innovation, we are investing in the tools and the processes required to enable an efficient software factory. For example, our AI-assisted cogeneration code generation tools leverage our vast repository of safety certified code and complex program requirements across regions, to accelerate both current and future programs. And this expertise, plus 20+ years conceiving, specifying, and delivering safety-critical systems across 75+ countries, is unparalleled in the industry, and I think an essential component of our success.

These capabilities not only benefit Aptiv, but they also benefit our customers and partners globally. Let me explain.

[Intelligent Systems – Software Development Video #1]

The Automotive industry has struggled to transition to agile software development tools and processes. For context, today, a typical ADAS or UX program can run anywhere from 24 to 36 months, involve 500+ engineers, and necessitates that a Tier 1 and an OEM team manage dozens of suppliers across tens of locations around the globe.

In the past, each of these vendors would use their own tools for program requirements, software delivery, defect tracking, and testing. Software comes together infrequently via a waterfall approach, with long bug fix and integration cycles. As a result, the

Aptiv 2025 Investor Day Transcript

industry has failed to realize the benefits of feature velocity, higher quality, and cost savings that a software-defined architecture should be delivering.

[Intelligent Systems – Software Development Video #2]

Now, this is where we are taking a unique approach for our programs by leveraging modern development tools and processes like Wind River Studio. Roughly 80% of the Aptiv development programs use Studio today, resulting in up to 25% efficiencies, and our suppliers, customers, and partners are also increasingly benefiting from its use.

When suppliers and OEMs standardize on the same set of tools for requirements, CI/CD, and defect tracking, we are now able to integrate and validate features much more often, deliver high quality programs at a lower cost, and also allow our customers to provide feedback throughout the development process. For example, one in-cabin user experience program in Europe is expected to finish 30% faster and at a lower cost as a result of these tools.

Moving to supply chain. Learning from our experiences during the pandemic, we've been particularly focused on SoCs. We've designed our solutions to be SoC agnostic with localized supply chains to mitigate geopolitical risks, while managing costs. In fact, our Active Safety and User Experience stack has up to 12 different SoC options supported today.

We have over 1 million supply chain nodes mapped in our database, giving us extremely high traceability. And we have 600 alternative semiconductor components pre-identified for rapid substitution during disruptions. As a result, our supply chain capabilities allow us to deliver both resiliency and cost benefits.

Another key competitive advantage for us is our highly automated and cost competitive manufacturing. At the product level, we not only design for optimized performance and cost, but also for scalable and automated manufacturing; and our product-centric approach is driving efficiency and scale. Our manufacturing footprint is distributed across the globe, so that we can support the regional needs of our global customers, which is made possible through automation and modularity of our designs. In the past year alone, our footprint in integrated systems was able to support over 150 new launches.

This operating rigor, in combination with our innovative, modular product offerings, has translated into commercial success across the globe. Examples of Automotive wins this past year span across product lines and regions, with both full-system and component wins. While OEM architecture delays have resulted in fewer conquest opportunities, we have benefited from continued program extensions.

Additionally, Wind River continues to add new logos across the telco and industrial sectors. This past year, we secured a deal with Vodafone to assist with their 5G rollout, and extended our relationship with Schneider Electric. In addition, we've got over 250 partnerships with key players across our product domains and end markets, which gives us improved access to a wider set of customers and channels.

Now, before I turn it over to Joe, I want to summarize the key themes we've discussed. First, the secular trends are driving the need for intelligent, safety-certified software, and more powerful, efficient hardware to run it. As these intelligent edge solutions continue to mature, vehicles and other devices will increasingly sense, think, and act independent of human intervention, while being optimized over their complete lifecycle. Aptiv is one of the few companies delivering these capabilities at scale across any industry. We will continue to be a leader in ADAS and User Experience, and we are expanding our capabilities to other end markets with similar needs.

Varun will talk more about the financial plan later today, but to summarize, this translates into a clear path to revenue growth in the range of 4% to 7%, including building more software revenue streams, and EBITDA margin expansion of 180 basis points through 2028. I'm confident that Intelligent Systems will be a value creation engine for customers and shareholders.

So with that, it's my pleasure to hand things over to Joe Massaro, who will take you to Aptiv's Engineered Components business.

ENGINEERED COMPONENTS

Joseph R. Massaro | Vice Chair & President, Engineered Components

Thank you, Javed. Good morning. It's great to see everyone and thank you for joining us today. I am very excited to be talking to you as President of our Engineered Components business, a global leader in the development and manufacture of harsh environment electrical connection and protection solutions.

Our Engineered Components products provide the connectivity needed to enable edge devices and solutions to Sense, Think, Act, and Optimize. And as you will see today, we are successfully leveraging our industry-leading portfolio in Core Mobility to accelerate Aptiv's growth into select industrial markets, while continuing our track record of operational excellence, resulting in long-term sustainable and profitable growth.

Let's start with a brief overview of Engineered Components. We are a \$6.7 billion global business, with balanced customer and regional diversification, delivering 4% to 7% growth, with EBITDA margins heading to 24%. Engineered Components has also benefitted from the successful execution of Aptiv's multi-year strategy to diversify into other end markets. Leveraging both organic product growth and accretive inorganic growth, we have grown our Non-Automotive business to over 25% of total Engineered Components revenues today. We offer more than 100,000 product SKUs to over 10,000 customers worldwide, and go-to-market through a number of channels, including direct to OEM, as well as an extensive distribution network.

Our top operational priorities remain consistent with our accomplishments in the past several years, as we will continue to grow within Automotive, while expanding our position in new accretive end markets and products. And we will maintain our focus on operational excellence, providing customers cost-effective, high-quality solutions, while continuing to expand our margins and cash flows.

As Kevin discussed, the long-term secular trends of Automation, Electrification, and Digitalization represent strong tailwinds for Aptiv, including Engineered Components. Across all of our end markets, these trends are driving more complex system requirements that not only demand new, robust component solutions, but more often than not, require these solutions in greater numbers per device, providing the added tailwind of content growth. Our ability to capture the benefit generated by these trends really goes back to our long, successful track record in Auto.

With levels of Automation, Electrification, and Digitalization growing in edge devices outside of Auto, we see increasing demand for cost- and mass-optimized component solutions that can be produced globally and at scale, providing us the opportunity to apply our capabilities in these markets.

Aptiv's Engineered Components create the foundational infrastructure that allows edge devices to function as integrated, intelligent systems rather than isolated components. The ever-increasing levels of technology, particularly in Automation, has significantly increased the importance of signal fidelity and robust power connections. Signal and power connections to peripheral sensors and central computes are required to be real-time, uninterrupted pathways that ensure data from sensors is communicated cleanly and timely to the compute and that the decisions taken by the compute are clearly communicated to the actuating systems.

While everyday examples of systems sensing, thinking, and acting come in the form of autonomous emergency braking systems or automated warehouse systems, some of our fastest growing products and applications all often involve far more exciting examples.

Our hermetic connectors are used in multiple aircraft and space applications, including a Gen 5 fighter program, a large air defense system, and in a growing number of satellite programs; all applications that not only require signal and power integrity, but complete environmental sealing as well.

One of the most exciting and fastest growing product categories are what we call high-performance interconnects, effectively, custom connector assemblies designed to meet very specific, mission-critical applications, where the specific device or sub-

Aptiv 2025 Investor Day Transcript

system has an even more demanding performance requirement than the overall system. Today, Aptiv is a world leader in the manufacture of high-performance interconnects for Automotive airbags, and we are seeing strong growth in our Aerospace & Defense applications, including several aerospace programs.

Edge devices and systems must also be optimized to ensure they can operate reliably for years. We enable this optimization through the design of mass-optimized components. Because while systems continually require more signal and power, they need to become smaller and lighter, and must always be cost effective.

Additionally, protection solutions play a very important role in optimizing systems; and through HellermannTyton, we are the world leader in management and protection solutions. For example, our Heat Shrink Tubing product provides insulation and environmental sealing for avionics and submarine applications, protecting the underlying systems from extreme temperatures and pressures.

As we've successfully diversified our customer and end market mix, we've also significantly expanded and tailored our go-to-market and product development capabilities to address market needs. Our Automotive DNA provided us the know-how and capabilities to produce robust connection systems at scale on a global basis, meeting high engineering and quality standards millions of times per day.

The scale and global reach serve us incredibly well in the Commercial Vehicle and Industrial end markets, where solutions are often standardized and can be sold directly and through distribution. And while our entry into the Telecom and Aerospace & Defense markets has certainly benefited from our scale, we most often find that our specialized technologies and manufacturing processes are what our customers are most interested in.

Our key technologies like hermetic sealing and RF connectors have won important content positions on several large Aerospace & Defense programs. And while these programs are smaller in overall volumes than Automotive programs, the growth rates and program lifecycles are considerably higher and longer.

As I noted, our leadership in Automotive has served as the foundation for Engineered Components' successful growth in other markets. With almost four decades of experience in Automotive, having started as an offshoot of our EDS business, we have grown into the second largest provider of automotive connectors globally and the leader in cable management and protection solutions. We serve over 25 global OEM customers and every major global Tier 1 wire harness maker, in addition to serving the broader Automotive market through a growing distribution network. Our product development capabilities allow us to not only react to customer needs, but more importantly, anticipate what solutions these secular trends will require, enabling us to proactively develop new products.

As you will see over the next two slides, the strength of our automotive product portfolio, combined with the global scale and expertise of our product development, engineering, and manufacturing organizations, ensure we are relevant to our automotive customers regardless of vehicle platform type or region.

By way of example, a large SUV and pickup truck program, representing one of the most successful vehicle platforms in North America. Our Engineered Components content extends from low-voltage and specialty connectors to electrical centers and media modules, as well as cable management and protection systems. As the technology content has grown on this platform, we have been able to offer high-performance interconnect solutions supporting domains such as active and passive safety systems, as well as high-speed data connectivity. Our expertise in systems integration has also allowed us to bring novel technologies to the overall system design, including the introduction of mini-coax connectors, providing greater performance while reducing mass and cost.

In the China market, we have been an early leader in developing technologies specifically designed for the Local Chinese OEMs, who often require unique solutions and demand a much quicker design and deployment cycle than Western OEMs. In this particular program, a fast-growing Chinese OEM, the timeline from award to start of production was less than 1.5 years on a new advanced vehicle architecture utilizing zonal controllers. And although a relatively new relationship as compared to the North American OEM we just discussed, our strong product and engineering capabilities in China have allowed us to develop a

Aptiv 2025 Investor Day Transcript

leading position for high-voltage architecture, incorporating all of our relative product offerings, including high-voltage electrical systems, automotive-grade busbars, as well as low-voltage connectors and fastening systems.

While our innovation, scale, and execution has been critical for our Automotive business, what is equally as exciting is our ability to leverage this foundation to extend our growth in other markets. As we sit here today, greater than 25% of our business is outside of the Automotive market, and it's accretive to our overall segment growth rate and EBITDA margin.

The development of the Non-Automotive business has been very purposeful, focused both on organic expansion of our product lines into markets like Commercial Vehicle, as well as non-organic strategies that have included the acquisition of HellermannTyton and Winchester Interconnect. Our integration of these businesses into the broader Aptiv has been well executed, allowing them to continue to focus on driving significant organic growth. HellermannTyton has actually more than doubled in size since acquisition, while leveraging core Aptiv capabilities such as supply chain and infrastructure.

In addition, a key part of our diversification strategy has been the continued successful development of our go-to-market channels across end markets. While we continue to drive innovation and growth in the Automotive industry, our success in addressing the same secular trends in other key markets has provided the business with the benefits of revenue and know-how diversification that helps drive continued growth and margin expansion.

Over the past four years, we have grown our Commercial Vehicle business to approximately \$500 million in revenue, making us a top three global supplier of commercial vehicle engineered components. Leveraging our core Automotive technologies, we work closely with several leading OEMs to develop application-specific products, providing this market with differentiated and cost-effective alternatives. Our Compact Transportation Connection Systems, or CTCS series, now serves as the backbone for all electronics applications in commercial vehicles, including powertrain, active and passive safety systems, as well as cabin electronics and telematics. And we also see increasing demand for electrification, allowing OEMs to increase efficiency through hybrid solutions incorporating our high voltage technologies.

Our success at evolving our product line through innovation extends beyond the Core Mobility markets. Over the past several years, we have grown our Aerospace & Defense business to approximately \$250 million of revenue. We now serve all major commercial aircraft manufacturers and have wins on major defense platforms, including fifth-generation fighter programs and subsea applications like towed sonar arrays.

[Engineered Components – Modulus Connector Series Video]

In addition, we also serve three of the top commercial space companies, providing content for launch vehicles, as well as satellites. And one of our most exciting product innovations in 2025 was the Modulus Connector series, developed jointly by our automotive and aerospace product teams. As you see in this video, the product was designed for low-earth-orbit satellites, providing high-performance signal and power connectivity. Our team took this product from concept through feasibility and customer acceptance testing in under nine months, and we've already secured initial awards worth \$50 million of lifetime revenue.

And lastly, we are very excited about the opportunities we have in the Telecom & Datacom markets, which we currently serve via both direct relationships, as well as through distribution. In addition to high-speed ethernet cable assemblies and connector solutions, our cable management and protection product line includes our GigaDuct cable management system, designed to both protect and facilitate installation of high-speed cabling and fiber. We also see growing opportunity for additional high-performance interconnects in data center applications, and have several development projects underway with customers serving those markets.

As we have diversified our product offering and end market exposure, we have significantly increased our addressable market. We estimate our Automotive TAM will grow at a 4% CAGR to reach \$40 billion by the end of the decade, driven primarily by content growth – the need for greater levels of connectors, high-performance interconnects, and protection solutions in the vehicle.

Aptiv 2025 Investor Day Transcript

However, with over 25% of our revenues already derived from other end markets today, we have an established product portfolio and go-to-market capability that significantly expands this opportunity. When factoring in these markets which are growing faster than Automotive, we more than double the TAM of our Engineered Components business to \$85 billion by 2030, with Aerospace & Defense, Telecom, Data, and Other Industrials all achieving mid-to-high-single digit growth. As we look across our global product portfolio, we see no shortage of opportunities to continue to deliver the needed innovation and cost-effective product solutions to these customers.

While innovation and product development are essential to ensuring our products lead the way in enabling new technologies and applications, reliability and affordability are just as important. To help drive costs out of our business and ensure the quality of our end products, we have developed a number of core operational processes, and we are constantly looking at ways to further automate our factories and distribution centers to maximize productivity. We prepared a short video to show you how we operate.

[Engineered Components – Operational Excellence Video]

We support our customers with a global team of 4,000 engineers across six major technical and engineering centers, specializing in product-centric development that has resulted in 5,000 granted patents. Our global footprint is not only cost-effective, with 70% of our engineers in best cost countries, but also provides broad customer coverage, allowing us to share global practices and technology trends across all markets we serve. This has proven particularly useful as we are seeing increasing opportunities, like the Modulus Connector, to take products originally designed for Automotive into other markets that require harsh environment engineered components produced at scale.

As Kevin noted, one of the most important drivers of the resiliency and strength of our business is our global supply chain. Utilizing a very proactive and assertive approach to supply chain management ensures we are capable of delivering to our customers, despite what seems to be a constant stream of potential risk events. The foundation of this approach is a thorough understanding of the supply chain itself, ensuring we know where every key component originates from and ensuring we have identified multiple alternative sources.

The supply chain for 95% of parts and components are fully mapped in our digital twin, including the copper supply, with 99% mapped directly to the source. In addition, 90% of critical materials are sourced in-region, for-region. We then use the digital twin to develop BOM health evaluations, allowing us to identify potential risk areas within the individual bills-of-materials and then proactively address, ensuring we have ample alternatives.

A great example of this system in action goes back a couple of years when a flood in Europe significantly impacted an industry-leading supplier of copper strips, a common component in connectors. Within 24 hours following confirmation of the damage to the supplier's plant, we had already secured alternative supply from other manufacturers and the available distribution channels. In several cases, we reconfirmed our ability to keep our customers connected before the customers were even aware that there had been a flood.

Based on the strength of our supply chain management approach, we are now engaged in five assessments with customers helping them through BOM health checks and sub-tier mapping of their supply chain.

The resiliency of our supply chain is a major contributor to the strength of our manufacturing and distribution capabilities. The high level of surety of supply into our plants allows them to operate at world-class levels and maximize the benefits of our investments in automation and manufacturing processes. And we do this at an amazing scale and volume.

Engineered Components ships approximately 270 million parts per day at an on-time delivery rate exceeding 98% and at a quality rate of 99.9% parts per million. We do this across 61 major manufacturing and distribution facilities, located within core regions to serve those regions. This regional approach not only provides us with the proximity to our customers, but it's also helped us to minimize the impact of recent changes in global trade policies.

Aptiv 2025 Investor Day Transcript

In addition, we are focused on ensuring we have a balanced approach to site selection, focused around core manufacturing capabilities and centers of excellence, as well as cost to operate. When combined with our investments in automation and technology, the efficiency and effectiveness of our manufacturing and distribution footprint helps ensure we are delivering cost-effective products and solutions to our customers.

In addition to driving end market diversification, we have also grown our commercial capabilities, with the ability to serve Tier 1 and prime suppliers, as well as over 4,000 distribution partners, while retaining the ability to develop and sell product directly to OEM customers.

Within Core Mobility, we have established portfolios of products within the technical libraries of all major OEMs, facilitating the innovation and design process at our OEM customers. These library positions also help facilitate sales to the Tier 1 wire harness providers who rely on the technical libraries to ensure the components comply with OEM specifications and standards.

With another key end markets, we also go direct to OEMs and have developed strong relationships with Aerospace & Defense primes, as we've gained increased design influence and responsibility on key connector and interconnect technologies.

Our positioning as a Tier 2 supplier allows us greater flexibility to serve these various channels, as demonstrated by our recent bookings success, having booked approximately \$15 billion of new business awards across multiple end markets and channels over the past two years.

Let me wrap up before turning it over to Varun. As we have just covered, the secular tailwinds, our comprehensive product portfolio, end market diversification, and our focused execution has not only resulted in a strong track record, but more importantly, positions us to continue to grow, diversify, and expand margins in the coming years.

As we look ahead, our priorities are crystal clear. We will continue to expand our leadership in Automotive, leveraging our global footprint to support our customers as vehicles become increasingly automated, electrified, and digitalized. We will deepen our presence in high-growth industries through both organic and inorganic strategies, and remain laser focused on execution, ensuring we continue to drive sustained profitable growth.

And now, let me turn it over to Varun to cover the financials.

APTIV FINANCIALS

Varun Laroyia | Executive Vice President & Chief Financial Officer

Thank you, Joe. Good morning. It's a pleasure to be here today, and I'm excited to translate everything you've heard from Kevin, Javed, and Joe into what it means for our financial trajectory over the next several years. What will come across is that Aptiv represents a compelling investment opportunity, with attractive revenue growth and continued margin expansion, resulting in robust free cash flow generation that provides opportunities to further enhance shareholder value via capital allocation.

I want to set the stage here today by reviewing Total Aptiv's financial performance over the past few years, inclusive of EDS. We've grown revenue at a 4% adjusted compound annual growth rate since 2022. That was despite headwinds from slower-than-anticipated EV penetration in North America and Europe. Had this trend aligned with our original outlook, it would have added 4 percentage points to our growth rate. Our Automotive revenue growth was therefore largely in-line with vehicle production of approximately 3%. However, we continued to diversify our business, with growth in Non-Automotive revenue of 7%; and these markets now account for 19% of Total Aptiv revenue.

During this three-year period, we also delivered over 300 basis points of cumulative margin expansion. Let me unpack a few items within this. First, we eliminated approximately \$300 million in COVID-related and supply chain disruption cost

Aptiv 2025 Investor Day Transcript

headwinds. Second, we delivered strong performance that essentially offset a headwind of over 400 basis points related to global labor cost inflation. And finally, we overcame over 200 basis points of foreign exchange and commodity headwinds.

Since 2022, we have generated over \$7.5 billion in cumulative operating cash flow, and net of \$3.5 billion in capital expenditures, this has translated to over \$4 billion in free cash flow. And we returned nearly \$2 billion of this to shareholders in the form of share repurchases. If we include the accelerated share repurchase program, this number would be closer to \$5 billion.

The combination of these dynamics has resulted in a 30% CAGR in earnings per share since 2022.

From this point on, I'm going to focus exclusively on New Aptiv, which excludes our EDS business. Kevin outlined the elements underpinning our robust business model and our strategy for capitalizing on the growth opportunities that lie ahead. And I will walk you through how all these points translate into an attractive financial profile of revenue growth, margin expansion, and cash flow generation.

Let's begin with our financial plan through 2028. This remains consistent with the framework we outlined in January when we announced the EDS separation. Our outlook through 2028 includes an expectation for revenue growth per annum in the range of 4% to 7%; margin expansion of approximately 200 basis points on a cumulative basis, to reach approximately 21%; and a mid-teens growth rate in earnings per share, which excludes any upside from capital allocation initiatives. And finally, we expect to convert earnings into approximately \$4 billion of cumulative free cash flow from 2026 through 2028, which we expect to deploy in a disciplined manner. All of this, we believe, translates into a compelling financial profile for New Aptiv.

Over the past three years, New Aptiv has delivered a revenue CAGR on an adjusted basis of approximately 5%. This reflects solid mid-single digit growth across both segments, despite headwinds related to customer mix in certain geographies, as well as a slower-than-anticipated pace of adoption in electrified vehicles. New Aptiv is a well-diversified company, both across geographies and, importantly, end markets, where Non-Automotive markets already account for almost \$3 billion in revenue, or approximately a quarter of our business.

Going forward, we have high confidence in our ability to grow revenue in the range of 4% to 7% per annum through 2028. Our outlook assumes growth in global vehicle production on an Aptiv-weighted basis of approximately 1% annually over the next three years. We expect Automotive revenue growth to predominantly be driven by increasing content across both our segments, related to electrification, as well as the adoption of next-generation software-defined vehicle architectures. This outlook is supported by a strong foundation of approximately \$65 billion in cumulative bookings since 2022, across all regions, segments, and product lines.

Outside of Automotive, we expect revenue growth of approximately 8% to 10% through 2028. And this is driven by Other Industrials end markets, which we expect to grow faster than Commercial Vehicles. We expect this organic growth to result in nearly \$4 billion in revenue attributable to Non-Automotive end markets by 2028.

Now, let's turn to the multiple levers we have to improve our cost structure. Our margin expansion from 2022 to 2025 is strong evidence of our relentless focus on our cost structure and operating performance. Our investments in operating performance and cost structure optimization over the past few years have yielded, on a pro-forma basis, a strong 19% EBITDA margin.

And through 2028, there remains significant opportunity for further cost improvements. We will continue to drive material performance through engineering design changes and working with our supply base, as well as manufacturing performance through footprint consolidation and rotation, which will help to offset the impact of continued labor inflation. We expect further reduction in SG&A, helped by overhead cost reduction initiatives that we continue to implement. These savings will be partially offset by investments in engineering and commercial capabilities to further penetrate Non-Automotive end markets.

Which brings me to EBITDA margins. As we continue to grow and diversify our business, and capitalize on efficiencies created through our best-in-class operating model, we expect to expand EBITDA margins by a cumulative 200 basis points through

Aptiv 2025 Investor Day Transcript

2028, to approximately 21%. This will be driven by strong flow-through on sales growth, net of normalized price downs in the range of 1% to 2%, as well as an improvement in our product mix during that timeframe, namely Software & Services.

As I mentioned on the previous slide, other drivers of expected margin expansion through this period include continued improvement in manufacturing and material performance, which will be partially offset by continued unfavorable labor economics, and a reduction in corporate and segment overhead expense, as we enhance the scope of our global shared services and expand coverage through best-cost countries.

Lastly, it's worth noting that roughly \$70 million in stranded corporate costs will remain in our cost structure on day one of the EDS separation. However, we have made solid progress through our internal task force on this topic, and I expect that these costs will decline ratably over 2026 and 2027, and fully exit our cost structure by 2028.

Let's take a more detailed look at our segments, starting with Intelligent Systems. As Javed discussed earlier, our product portfolio in this segment is becoming increasingly relevant beyond Automotive, thanks to the rise of intelligent edge devices. And so we are evolving not only the name of this segment, but also the way we categorize our offerings – Sensors & Compute and Software & Services. This now more broadly reflects how we will go-to-market with customers across multiple industries.

Since 2022, Intelligent Systems segment has delivered a 6% revenue CAGR and has booked approximately \$33 billion in new business awards. With this foundation, we expect the segment will grow revenue in the range of 4% to 7%, resulting in roughly \$7 billion of revenue in 2028.

Within Automotive, we expect growth across both our product lines of Sensors & Compute and Software & Services, driven by the launch of new Active Safety programs and also User Experience programs. We expect double-digit growth in Industrials markets, driven by increasing applications for our technologies in industries such as Aerospace & Defense, Telecommunications, and other industries that are demanding edge AI solutions. Software & Services revenue is expected to grow at a mid-teens CAGR, driven by continued investments in both product and talent.

With the backdrop of this revenue growth, we expect EBITDA margin expansion of approximately 180 basis points cumulatively from 2025 through 2028, driven by flow-through on sales growth, an increasing composition of higher margin Software & Services revenue, and continued improvements in performance, partially offset by investments in engineering.

Turning now to Engineered Components. This business is already very well diversified, with over 25% of its revenues attributable to Non-Automotive end markets, including Commercial Vehicles, today.

Since 2022, this segment has grown revenue at a 4% adjusted CAGR and has booked approximately \$32 billion in new business awards, providing a strong foundation for continued revenue growth. We expect future revenue growth to be consistent with New Aptiv overall, at 4% to 7% over the coming years, resulting in over \$8 billion of revenue in 2028.

Within Automotive, we expect solid revenue growth across all regions, driven by the launch of new programs, our high-speed interconnects, as well as continued traction with Local China OEMs. Beyond Automotive, we expect high-single digit revenue growth in Other Industrials markets, including Aerospace & Defense. Finally, as Joe discussed, we remain focused on enhancing our commercial capabilities and our distribution footprint, which is expected to deliver strong growth through this channel in the coming years.

We expect cumulative EBITDA margin expansion of approximately 200 basis points from 2025 through 2028. This is expected to be driven by flow-through on sales growth, an increasing composition of revenue from higher-margin Non-Automotive markets, and continued improvements in performance, aided by further consolidation and rotation of our manufacturing footprint to best-cost locations.

So what does all of what I just described mean for the bottom line? A solid path for mid-teens growth in earnings per share on an organic basis, excluding any upside from capital allocation initiatives. Starting with the midpoint of our full-year 2025 EPS guidance of \$7.70, established on the third quarter earnings call a few weeks ago; on a pro-forma basis accounting for the

Aptiv 2025 Investor Day Transcript

separation of EDS, New Aptiv earnings per share is expected to be approximately \$5.50 in 2025, and is expected to grow to approximately \$8.00 in 2028. We assume no share repurchases in our outlook, other than to negate the dilution from equity grants. There remains upside to our EPS growth framework with capital allocation actions.

Let's turn to our capital allocation priorities. This starts with cash flow generation, which we forecast will amount to approximately \$4 billion on a cumulative basis from 2026 to 2028.

First, we target gross leverage in the range of 2 times to 2.5 times. The EDS spin will, of course, impact our leverage, as we are losing approximately \$900 million of EBITDA with the separation. However, we are compensating for this through a one-time dividend from EDS, in addition to existing cash on hand, both of which will be used to pay down debt, such that we anticipate the spin will be a leverage neutral event pre- to post-spin for New Aptiv.

Beyond managing our credit profile, our second priority for capital allocation is to invest in organic growth opportunities, continuing our efforts over the past decade to expand our product and technology portfolio, and expand our total addressable market. Third, we will continue to evaluate strategic inorganic investments, including acquisitions that will build scale and bring diversification to our business. I'll talk more about these priorities on this topic shortly. And finally, we will return excess cash to shareholders, primarily in the form of share repurchases.

Which leads me to M&A. Our focus areas here are twofold. First, acquisitions that drive additional scale of our product portfolio across multiple end markets. These targets are expected to be accretive to our financial profile, while also enhancing our competitive position and increasing our penetration in Non-Automotive end markets. And second, investments and acquisitions that add to our product and technology portfolio. These can take the form of bolt-on acquisitions, or more likely, partnerships and investments. This will allow for efficient capital allocation in a way that will enhance our product portfolio and expand our presence into target markets.

So to summarize, New Aptiv is well positioned to create long-term shareholder value. Our rigorous execution and relentless focus on unlocking shareholder value will deliver the attractive financial profile that I outlined today, making Aptiv a compelling investment opportunity.

With that, I'll hand it back to Kevin to wrap up this morning's session. Thank you.

NEW APTIV CLOSING REMARKS

Kevin P. Clark | Chair & Chief Executive Officer

Thanks, Varun. I hope you've all learned a lot more about the New Aptiv today. I want to underscore that we've built a tremendous business, and we have significant future growth opportunities in front of us. The secular trends driving continued growth within the Automotive market have expanded into other markets, providing additional opportunities.

We've transformed Aptiv into a more diversified industrial company, providing advanced hardware and open-architected software, delivering full-system solutions that meet the evolving needs of our customers. And our operating model has been built to thrive in any environment and is uniquely relevant in today's environment. This translates into an attractive financial profile, as Varun just reviewed, that positions us to unlock shareholder value through earnings and cash flow growth and the execution of disciplined capital allocation strategy tailored to the New Aptiv.

It's a very exciting time for all of us here at Aptiv, and I'm optimistic about the opportunities that are in front of us. I'm confident in our ability to execute. We have a very strong management team, supported by active engagement from our Board of Directors. We have here today our Lead Independent Director, Paul Meister, who joined us. Paul, thanks for coming.

So thanks to all of you for being here. We're going to take a short 15 minute break before we move on to EDS portion of the day, and into the Q&A with all of the presenters from today. So thank you.

Aptiv 2025 Investor Day Transcript

EDS OPENING REMARKS

Please welcome back Kevin Clark.

Kevin P. Clark | Chair & Chief Executive Officer

Thank you, and welcome back, everyone. We're now going to turn our focus to the Electrical Distribution Systems business, which is being spun out as an independent company at the end of the first quarter of 2026. Now, this is an exciting moment for EDS. As an independent company, it will have the focus and the flexibility to accelerate innovation and deliver even greater value to their customers, as well as to shareholders.

To walk you through the strategy and give more insight into what EDS will look like as a standalone public company, I'd like to first welcome Joe Liotine to the stage; and then, after that, we'll have Varun Laroyia, who'll take you through the financials.

And then, as we mentioned at the front, we'll all come up on stage, all the presenters, and we'll answer your questions. So, with that, I'm going to hand it over to Joe.

ELECTRICAL DISTRIBUTION SYSTEMS

Joseph T. Liotine | Executive Vice President & President, Electrical Distribution Systems

Thank you, Kevin. Hello, everyone. It's a pleasure to be here today. Earlier this year, Aptiv outlined the next phase in its strategic evolution, to realize the potential of EDS as a standalone global leader in electrical architecture design and empower the future of our business as the most respected and trusted player in the industry.

Today, I'm proud to be here to share more about the EDS business with you all. We're enabling power, signal, and data innovations through purposeful design and thoughtful development. Combining engineering excellence with agility, seamless partnership with customers, and unmatched expertise together in one offering, EDS delivers advanced architectures with unmatched speed and reliability that customers demand.

To better understand the opportunity ahead for EDS, let's focus on five key areas. First, how the secular trends of Automation, Electrification, and Digitalization are reshaping demands for electrical architectures. Second, how EDS' differentiation as a full-service solutions provider uniquely meets the increasing demands for next-generation architectures. Third, how our leadership in Automotive has been enabled by our unparalleled design capabilities, rigorous operating model, and global scale. Fourth, we'll define our robust expansion plans, including consolidation within our existing industry via bolt-on M&A. And finally, I'll walk through how all this translates into an attractive financial profile, including solid revenue growth and margin expansion, as well as strong cash flow. Following my presentation, I'll turn it over to Varun to review the financials.

Before I move into the focus area, let me share where we are today. EDS stands as an \$8.6 billion revenue company, a global leader in the design, manufacturing, and delivery of low- and high-voltage architectures. The majority of our revenue comes from the Core Mobility market – Automotive, Commercial Vehicle, and agriculture; and we're gaining traction in new market verticals, including energy storage and robotics, although small today.

We are well diversified across geographies, customers, and platforms, with approximately 75% of our business now attributable to designed architectures, where we partner closely with customers in the process of pre-development. This collaborative approach very much differentiates EDS from our competitive set, evidenced by our penetration into all of the top ten OEMs globally. Our operating model is lean and efficient, with 95% of our hourly workforce in best-cost countries, allowing EDS to deliver scale with flexibility in a highly competitive market.

EDS has a clear vision for the future, powered by a proven business strategy, focusing on four priorities. First, strengthen our market leadership in Automotive. Leveraging our bespoke, highly optimized solutions with the value-add components our customers demand that are margin accretive for us. Second, drive our global scale in Automotive to enter businesses in targeted adjacent markets, drawing upon our best-in-class engineering, manufacturing, and supply chain capabilities. Third, build on an attractive financial profile of revenue growth and continued expansion of industry leading margins, generating strong free cash flows. And finally, drive balanced capital deployment from the outset, including investing to grow our business, paying a competitive dividend, and returning excess cash to shareholders.

We continue to benefit from the same secular trends, transforming a number of industries – Automation, Electrification, and Digitalization. Let's unpack what those mean for EDS specifically. Starting with Automation, OEMs are increasing hardware content to enable more active safety and more autonomous features, which require more robust electrical architectures to handle increased data, signal, and power. Content is also naturally increasing as a result of Electrification, which demands higher-voltage electrical architecture content and drives a CPV uplift for us of 70% versus a similar ICE vehicle. And finally, Digitalization, or the evolution toward more software-defined and feature-rich vehicles, is driving an increase in the data they generate, which requires more capable distribution systems to support them.

These forces are converging and driving greater demands on electrical architectures and the companies supplying them. Beyond advanced features in vehicles, electrical architectures must be robust to perform in a mission-critical capacity, meaning zero tolerance for failure, over long service lives. They must also have an optimized design across every facet – for size, weight, performance, and ultimately cost. That means something different for every customer and every platform we support; while they all use common components, no two architectures are the same.

On this point, automakers design their vehicles to provide targeted feature sets, and the electrical architecture is inevitably the last phase in design process. This is why it's important that we drive early engagement with customers to understand their functional and performance requirements, and why our proprietary suite of design tools are a unique differentiator.

But the requirements do not simply end with products, but rather extend into requirements of suppliers themselves. Increasingly, the following criteria are critical to source new business. First, end-to-end capabilities from design to delivery and from components to full-systems, that are optimized for performance and cost. And second, global scale and resiliency, meaning the ability to provide the same product, at the same quality, on time, for global platforms across regions.

I want to double click on the full-service capabilities because they truly differentiate EDS in the competitive landscape. Architectures that seamlessly incorporate the entire breadth of our capabilities from design and engineering to manufacturing and supply chain. As I previously shared, this accounts for more than 75% of our revenue.

This starts with our comprehensive portfolio, where we are well positioned to deliver any architecture a customer requires based on their individual objectives and roadmaps, whether that's distributed, domain-oriented, or zonal. It's supported by our design optimization capabilities, with early and close collaboration with customers, and augmented by our proprietary systems and tools suite, including iHarness. And finally, even the best solutions don't work unless we can consistently and reliably deliver them. Here, we're a global leader, thanks to our robust global manufacturing footprint and supply chain.

Proprietary in-house automation processes actively improve quality, cost, and throughput, combined with tools like our digital twin capabilities designed to strengthen our supply chain resiliency, all of which are critical to our customers. All of this results in stronger relationships and influence with our customers through every stage of design, engineering, and manufacturing process, which ultimately allows us to design out cost and commoditized content, like copper, and design in value-rich content, which I'll talk more about in a moment.

Before I get there, I want to briefly touch upon our comprehensive portfolio ranging from low- to high-voltage architectures, components all the way up to full-systems, and traditional distributed to domain-oriented to optimized zonal architectures; all of which supports miniaturization, standardization, and seamless transmission of increasingly more signal, more data, and more power; and ultimately enables more automated, more electrified, and more feature-rich vehicles.

Aptiv 2025 Investor Day Transcript

Now, I'm sure many of you are curious what the trend toward advanced architectures capable of enabling the software-defined vehicle means for EDS. As Kevin discussed earlier, the evolution toward these architectures has manifested with automakers having added more features and functions that need to be supported by increasing electrical architecture content; and that is a good thing for EDS. That's why we're actively supporting our customers in their architecture evolutions.

Based on our assumptions for high-voltage, ADAS, User Experience, and other functionality, we see continued content growth, which will be partially offset by optimization. Some of that will be experienced directly by OEMs in the form of new designs, while other parts of it will come in the form of sharing a portion of the value created by our ongoing design improvements. The net impact of these factors is a content tailwind.

Beyond the limited technical and packaging feasibility of larger, more complex harnesses, the need for more optimization results in a number of benefits for EDS in both margin and competitiveness. From a margin standpoint, we generally don't realize a lot of benefit from increased copper in the vehicle, so it ends up being dilutive. Secondly, these next-generation architectures break apart the physical complexity, and give us an opportunity to design new solutions where we can drive higher levels of automation. However, it's also good from a competitive standpoint, as the trend toward more advanced architectures gives us an opportunity to differentiate ourselves versus less capable competitors. Let me give you a few examples on the next slide.

These are just a couple of the many real-world optimization examples we have provided for our customers. At one end of the spectrum, we have a very low disruption option, where we didn't change anything in the final product. We focused on changes to increase automation of our process, reducing touch time in harness assembly and improving throughput and quality; again all without any change to the architecture itself.

At the other end of the spectrum, we re-architected the design under a clean sheet approach, including zonal partitioning, and we introduced modular connectors, resulting in 30% weight reduction.

Evolving our approach also substantially reduces architecture complexity, providing an opportunity for standardization and scalability across models, programs and platforms.

The value speaks for itself and is reflected in our scale within Automotive. We are one of the top three players in every major region in which we operate, with content on one in every six light vehicles produced globally. But perhaps more importantly, we are partnering with the right customers on the right programs. We have revenue with all the top ten automakers globally and content on nine of the top ten global platforms by volume, meaning those top customers trust us with their most important programs.

Beyond that, we support more than 50 customers on 550 programs globally, spanning every region, supporting them with increasing number of increasingly complex launches every year. Just last year, for example, we launched 1,900 new projects, up almost 30% from previous years. The scale of our Automotive business and our position with these major automakers is simply unparalleled and one of EDS' greatest competitive advantages.

Automotive has long defined our business, but our capabilities translate well beyond this industry. Our right to play in other end markets is because the same attributes and capabilities required in Automotive are also valued in many other sectors, specifically: 1) The ability to support increasing features and function; 2) Demonstrate mission-critical reliability; and 3) Design and provide solutions that are optimized for both performance and cost. As well as our end-to-end capabilities across design and engineering to drive global scale with an in-region, for-region footprint to maximize speed, efficiency, and responsiveness, as well as a resilient supply chain, capable of reacting quickly to or mitigating changes in the geopolitical, macroeconomic, or trade and tariff environments.

And we've already identified and penetrated target markets that represent an attractive economic opportunity and where we have a right to play. Specifically, we have established presence in commercial and off-highway vehicles. While the majority of our more than \$800 million in revenue in this vertical today is attributable to on-road commercial vehicles, we also have a growing level of content with the leading players in the construction and agriculture segments.

Aptiv 2025 Investor Day Transcript

A few weeks ago, we shared our entry into energy storage, which was an exciting milestone for the team. And as of today, we have more than \$150 million new business awards and pipeline opportunities. It's worth noting that the timeline from award to production is shorter, and we have just begun to invest in this area. This is just one example where we are already seeing success outside of Core Mobility, and we are confident in our ability to further penetrate new markets. Now if we turn to the following slide.

All this translates into an already large addressable market, with upside. We estimate our core Automotive TAM to grow 2% CAGR to reach \$75 billion by the end of the decade, driven by demand for more robust electrical architectures to handle higher data, higher signal, and higher power requirements, as the industry continues to transition to more automated, electrified, and digitalized vehicles.

However, our addressable market nearly doubles when accounting for other end markets that we can increasingly service, which are growing at a faster pace than Automotive and generally offer higher margins than Automotive.

We've noted some of the key drivers for this growth on the right hand side of this slide, but I would emphasize they're all logical extensions of our capabilities, and offer both a compelling revenue opportunity and margin for EDS.

Of course, that opportunity only matters if we can execute, and execution is where EDS excels. We are delivering value to our customers not only in the product we are selling, but the robust process underpinning it. Everything in this business is precise and so are we.

Our operating model is built on four pillars, which is similar to the model Kevin outlined earlier today – engineering, a resilient supply chain, global manufacturing scale, and finally commercial excellence. To illustrate our commitment to operational excellence at EDS, we'd like to share a video. Please roll the video.

[Electrical Distribution Systems – Operational Excellence Video]

Now, double clicking on each of the components of our operating model, starting with our strong engineering capabilities. At the heart of our full-service offerings and our design optimization capabilities is a proprietary software platform we call iHarness, which manages end-to-end the design, verification, and visualization in one seamless interface – true process innovation at work.

Here's how it works. We start by incorporating complex customer design data in its own unique design language into our iCustomer Data Translator, which converts this unique data into one standardized format. This then allows our engineers to design, validate, and verify an entire architecture within an intuitive digital environment, cutting down on manual drawing time by up to 50%. Once this architecture is generated, the iHarness tool suite automatically carries out rule checks, creates a board drawing and wire kits, produces work instructions, and exports a released drawing from engineering to manufacturing, not to mention generates a digital twin of the architecture.

For example, when a design change is submitted by a customer, this can then be automatically processed, with the iHarness system generating the downstream workflows of rule checks, work instructions, kitting packages, and beyond. This integrated process, again enabled by our proprietary software, improves productivity, reduces error rates, and allows us to adapt to design changes significantly faster, delivering compressed turnarounds and higher quality for our customers.

Another differentiator of EDS is a robust and resilient supply chain, which allows us to manage incredible complexity with both precision and reliability. Our supply chain is integrated, supporting rapid order-to-delivery in as little as 10 days for our customers. It's localized, operating in-region, for-region. For example, 95% of our cable is sourced in-region. And finally, our supply chain is resilient, enabled by our end-to-end supply traceability where we have 95% supplier visibility down to the Tier 3 level.

To put the complexity of our supply chain and our capabilities in a perspective, take for example, a KSK program, which is terminology for a custom, just-in-time delivery model. For one KSK car model, we manufacture over 1,000 different electrical

architecture combinations, depending upon the trim and feature selections by the end customer. Over 1,000 different configurations, for just one model, on just one program, at just one automaker. And from the time the automaker places the order for that specific VIN requiring a unique harness, EDS has less than a week to deliver to the customer, essentially just-in-time for assembly.

What's even more impressive is the scale at which we are executing this level of complexity and precision for every single model and every single program at every one of our customers globally. Every day EDS receives 200 million parts globally from our supply base and ships out more than 1.5 million parts to our customers to more than 1,500 locations globally.

As I mentioned earlier, we offer our customers integrated development, working seamlessly in real-time across all aspects of the product lifecycle, giving OEMs an advantage they cannot provide on their own. Electrical architectures, on their own, may not strike many as overly tech-driven; but in reality, they are extremely complex, as they deliver on a multitude of mobility and sensory demands.

Our process is different, as it's highly intelligent, leverages advanced engineering, and is infused with leading enablers from advanced optimization models, AI, and digital twin insights. With this expertise, we process up to 45,000 design change requests by customers every year, requiring more than 40 million architecture changes.

And finally, perhaps most impressive, we are delivering parts to our customers at 99.9% quality and 99.9% on-time delivery. Calling this operational excellence is an understatement. The level of precision, reliability and complexity we are delivering day-in and day-out for our customers is an incredible feat made possible by our ability to innovate, remain versatile, and laser focused on results. And we continue to improve our manufacturing and work processes through the increasing use of automation, improving both cost and quality.

Taken together, the components of our operating model are a significant differentiator that drives our commercial success, which is, of course, also attributable to our deep and early engagement with our customers. What's important to understand on this slide is that our commercial engagement is a flywheel, with all of the critical components cited supporting one another.

Our early engagement with customers is enabled by our proprietary engineering tools like, iHarness, as well as our knowledge and expertise across electrical architectures, from full-systems down to the sub-component level. We create substantial value for our customers in our full-service solutions, and specifically our ability to design out cost and commoditized content and design in value. And lastly, we can meet our customers where they are and offer them any level of configuration to meet their precise needs, from traditional distributed architectures to optimized zonal architectures.

And these commercial capabilities have translated into real results, with more than \$25 billion in cumulative bookings since 2024, translating to more than \$12.5 billion annually. And just as important as our aggregate bookings number, we are winning business on the right programs and with the right customers, as evidenced by the stats here.

All of what I just described – the secular tailwinds, our full-service solutions offering, our scale in Automotive, opportunity in adjacent markets, and our operational excellence – adds up to a compelling investment opportunity. EDS remains uniquely positioned to capitalize on these trends, and what will be the necessary evolution of electrical architectures, because of our differentiation as a full-service solutions provider and a trusted partner. We have unmatched capabilities and scale in Automotive, with an extensive and resilient global footprint and proven operational excellence. And our strategy for penetrating adjacent markets positions us well for sustainable and profitable growth.

I'll leave it to Varun to talk about EDS' financials in more detail. But I want to close with noting that all of what I just highlighted translates into a solid financial profile of revenue growth and opportunity for expansion in what are already industry-leading margins. More importantly, we plan to deploy our consistent cash flow generation in a disciplined manner.

I'm incredibly proud of the strong and resilient company we have built and the ways in which we are evolving to capitalize on these opportunities ahead, all of which I'm confident will unlock significant value for our customers, our employees, and our

Aptiv 2025 Investor Day Transcript

shareholders. Thank you for your time. I look forward to speaking with all of you more in the future as EDS becomes a public company.

Now let's bring back up Varun Laroyia, Aptiv's Chief Financial Officer.

EDS FINANCIALS

Varun Laroyia | Executive Vice President & Chief Financial Officer

Thank you, Joe. Thank you. Hello again. I'm pleased to be back up here speaking about the other component of Aptiv's financials, Electrical Distribution Systems.

You just heard from Joe of all the ways in which our EDS business is differentiated and how the team is driving process innovation, efficiency, and ultimately value for customers. Now, I'm going to walk you through how that translates into its financial performance, and what this means in terms of opportunity for shareholders.

Much like Aptiv, following the separation, EDS, as a standalone company, will benefit from its ability to pursue its own strategic priorities and capital allocation strategies, which we are confident will enhance its market position, will drive future revenue, earnings, and cash flow growth, and ultimately shareholder value. Let's dive in.

Starting with a look back at EDS' financial performance over the past few years, pro-forma as a standalone entity. EDS is separating as a scaled business, with \$8.6 billion of revenue and adjusted EBITDA of approximately \$900 million in 2025. Underlying these numbers is a track record of improvement.

Since 2022, the business has grown revenue at a 3% CAGR, driven by low-single digit growth in Automotive, largely in line with global vehicle production, and high-single digit growth in Commercial Vehicle revenue, which now accounts for approximately 10% of total revenue.

The business has expanded EBITDA margins by 40 basis points on a cumulative basis over that timeframe, as volume flow-through and strong manufacturing and material performance initiatives have more than offset a 250 basis point headwind related to foreign exchange and commodities, in addition to offsetting more than \$500 million of costs related to global labor inflation.

Notwithstanding the headwinds, the business has been laser-focused on future growth, driving more than \$50 billion in cumulative new business awards since 2022, across strategic areas, such as electrification, as well as targeted end markets, including commercial vehicles, and targeted new customers, in particular the Local China OEMs. This lays a strong foundation for the future, which I will now turn to.

Looking forward, we are confident that the core pillars of the EDS strategy will drive value for shareholders. This will be in the form of sustainable revenue growth, continued margin expansion, and healthy free cash flow generation, which the company will deploy in a disciplined manner.

Now, let's turn to the specifics of our financial plan for the business through 2028. Our outlook through 2028 includes an expectation for revenue growth per annum in the range of 3% to 4%; paired with margin expansion of approximately 200 basis points on a cumulative basis, to bring the already industry-leading margins to 12% by 2028. Combined, we expect these factors to translate into a low-teens growth rate in net income, which excludes any upside from capital allocation initiatives. And finally, we expect to convert earnings into approximately \$1 billion of cumulative free cash flow from 2026 through 2028, that we will allocate in a disciplined manner, anchored a competitive regular cash dividend. And much like Aptiv, all of this, we believe, translates into a compelling financial profile for EDS.

Now, let's dive a bit deeper into the future financial trajectory, starting with revenue growth. Over the next three years, we have high confidence in EDS' ability to grow revenue in the range of 3% to 4% per annum. Consistent with the past three years, this

Aptiv 2025 Investor Day Transcript

will largely be driven by growth in Automotive, which collectively accounts for 90% of EDS revenues. Our outlook assumes growth in global vehicle production of approximately 1% annually over the next three years. Beyond production, revenue growth is expected to be driven by new program launches, evidenced by the \$50 billion of cumulative bookings over the past few years that I mentioned, including double-digit growth in electrification revenue across major regions. Outside of Automotive, we expect continued growth in Commercial Vehicles, where we have a broad presence from light commercial vans to large Class 8 commercial vehicles, as well as growing exposure to the agriculture and construction end markets. And lastly, we have revenue opportunity in certain new markets, such as energy storage, where EDS capabilities are increasingly applicable, although this sector is currently small in terms of total revenues realized.

Now, let's turn to the EDS cost structure that supports an industry-leading margin, and the additional levers the company has on this front. As Joe discussed earlier, these industry-leading margins are enabled by the business' proprietary capabilities and full-service solutions offerings, which allows EDS to partner closely with customers from pre-development to delivery, driving out cost and weight, and complexity for EDS, ultimately designing in value across the board, all of which is margin accretive.

That being said, we see additional opportunities for further cost improvements. One of the primary areas of opportunity is manufacturing performance, which is driven by two key initiatives. First, continued footprint consolidation and rotation to best-cost countries, an ongoing initiative and dependent on the macroeconomic landscape. And second is increasing automation through the manufacturing process. Both initiatives help to offset continued headwinds related to labor inflation.

Another area for cost improvement is SG&A, as a result of overhead cost reduction initiatives. This will, however, be partially offset by an investment in resources to further grow the Non-Automotive business and investment in engineering, thereby, increasing efficiency through the use of software tools to improve quality and throughput.

This brings me to EBITDA margins, which we expect to expand by a cumulative 200 basis points through 2028, to approximately 12%. Beyond the initiatives that I just described, margins are expected to be driven by strong flow-through on sales growth, net of normalized price downs in the range of 1% to 2%, as well as an opportunity to further improve the business mix of higher margin full-service solutions offerings, which today comprise more than 75% of total revenue.

Now, all of what I just described on revenue and margin translates into a path for growth in net income in the low-teens range. This excludes any upside from capital allocation initiatives. Specifically, we assume no change in interest expense following the incurrence of debt associated with the spin, which I will get into in a moment. So, we remain confident in the outlook for low-teens growth, with numerous avenues for upside, including share repurchases for EPS.

Turning to EDS' capital allocation framework. I want to emphasize that capital allocation is a very important component of the EDS value proposition and a driving force behind the separation of EDS into an independent company. Our capital deployment strategy obviously starts with the cash flow generation, which we forecast will amount to approximately \$1 billion on a cumulative basis from 2026 to 2028.

The key priorities for capital allocation include the following. First, the business will remain committed to prudently managing its debt profile. This includes a target gross leverage ratio of 2 times to 2.5 times, consistent with the target level for Aptiv currently. The second capital allocation priority is to invest in the business to support organic growth, including increasing automation of manufacturing processes and further optimizing its production footprint to ensure a competitive cost structure. CapEx as a percent of sales is expected to be in the range of 3% to 4%, and the business is expected to incur cash restructuring costs in the range of \$75 million to \$90 million per annum, primarily associated with the footprint optimization that I just mentioned.

Third, the company is committed to returning cash to shareholders through a competitive common stock dividend, with additional flexibility to return excess cash via share repurchases. And finally, EDS has an opportunity to pursue growth inorganically by bolt-on acquisitions, including participating in consolidation across the Automotive sector.

I would like to now double click into the balance sheet of EDS that we are targeting at separation. As I mentioned earlier, we are targeting to separate EDS as a well capitalized company, with a strong balance sheet. Our current plan is to access the

Aptiv 2025 Investor Day Transcript

debt capital markets to raise approximately \$1.9 billion, comprising senior unsecured notes and a Term Loan A. We then expect to allocate approximately \$300 million as initial cash on hand for EDS operations.

The remaining \$1.6 billion is expected to be remitted as a one-time dividend back to Aptiv, and Aptiv will use these funds, along with additional cash on hand, to pay down debt to compensate for the reduction in EBITDA; such that the EDS separation will be a leverage neutral event for Aptiv. Beyond the target debt to be raised, we plan for EDS to have an \$850 million revolving credit facility to further enhance liquidity. All of this, we expect will result in a strong sub-investment grade rated company, as you may have seen in the releases by all three ratings agencies on EDS that were issued earlier this morning.

Further, the company is expected to be immediately cash flow generative upon separation and to improve over the next several years. This will provide further optionality for debt pay down and other initiatives that enhance shareholder value.

I want to wrap up my presentation by reiterating the value proposition for EDS, which is evidenced by the strong financial profile. Much like Aptiv, EDS continues to benefit from secular tailwinds that are driving demands for its products and capabilities, which lay a strong foundation for future revenue growth. This will be capitalized on by its best-in-class operating model that drives industry-leading margins, with further opportunity for expansion. This drives strong earnings and cash flow that are reinvested back in the business to drive a flywheel in further enhancing EDS' products, capabilities, and market position, as well as cash flow that is regularly returned to shareholders. In summary, we are very confident in the value of EDS as an independent company and the consistency with which it will drive value for shareholders.

With that, we're going to close this session on EDS and bring back the speakers on stage for the Q&A session. Thank you.

QUESTION & ANSWER SESSION

Betsy Miller Frank | Vice President, Investor Relations

Please clearly state your name and company name before posing your questions.

Emmanuel Rosner | Analyst, Wolfe Research

Emmanuel Rosner from Wolfe Research. Thanks so much for hosting the event. If you could share some of your thoughts around expected cadence of sales growth and margin improvement throughout that three-year period that you are discussing? Part of the reason the industry hasn't necessarily lived up to previous expectations are some of these secular trends being pushed out. To what extent would you see this already being addressed in your launches in 2026 versus being potentially more back-end loaded through that time period? And that's a question for both businesses.

Kevin P. Clark | Chair & Chief Executive Officer

Sure. So, maybe I'll start and then we can have Varun follow up on my comments. I think, with respect to the environment that we're operating in, clearly it's a dynamic environment. So, clearly that causes us to reflect and be prudent, as it relates to the guidance we've provided, both from a growth standpoint, as well as from a margin standpoint. I would start with that, and that relates to both businesses.

Aptiv 2025 Investor Day Transcript

I think, secondarily, there's two aspects – top line and bottom line. I'll start with EBITDA. As Varun walked you through, we have stranded costs that are certainly in the RemainCo business, and then there are some build-out costs as it relates to the EDS business, that will flow-through our P&L and then out of our P&L beginning in 2026, then to 2027 and 2028. So, I would say on a relative basis, when you look at margin rate, you would see incremental margin improvement in year two and three versus year one. So, I'd say that's item one.

From a revenue growth standpoint, we have solid growth in Automotive, and we've talked about our strong growth in the Non-Automotive markets across both businesses, high-single digits. That will continue to grow. That's an area where we haven't built into our outlook, but I would expect that as we get more traction, especially in RemainCo, both from a broader market standpoint, as well as a software standpoint, we'd see accelerated growth in, again, year two, year three, and then beyond our guidance range.

So, a little bit less in 2026. Part of that is the stranded cost and stand-up costs that I talked about, Emmanuel, and then I think, some natural cadence as we get into years two and three. Anything that you want to add?

Varun Laroyia | Executive Vice President & Chief Financial Officer

No, Kevin, I think just to reiterate what you said, the stranded cost piece you've covered. On RemainCo, I will highlight the strong momentum that we have with Software & Services within our Intelligent Systems business. And if you recall, at the third quarter earnings, we mentioned that we were expecting the business to grow mid-teens. That is expected to continue.

So that's the balance I would provide with regards to within RemainCo, the global vehicle production, call it, 75% of the business. But if you think about where the expected growth is, that continues. So we're excited about that growth.

And then from an EDS perspective, we are seeing faster growth in the Commercial Vehicle side of things relative to Automotive.

Emmanuel Rosner | Analyst, Wolfe Research

On M&A and portfolio actions. So I think in the past, M&A has been described as a key growth engine, especially for RemainCo expanding into Non-Autos businesses. You've obviously mentioned that again today. Can you provide maybe some of the financial criteria, in addition to sort of the strategic ones, in terms of the size and also what you consider desirable for this purpose? And then conversely, as part of portfolio action, is there also room for parts of the portfolio to be reconsidered, whether they still belong with Aptiv?

Kevin P. Clark | Chair & Chief Executive Officer

Sure. So let me start with your last question first. We're always re-evaluating our portfolio. We do that constantly, consistently at a management team level, and certainly at a Board level. So we're continuously evaluating our portfolio, relative to the secular trends, relative to what's going on in the industries that we serve.

As it relates to M&A, each of our businesses have very focused organic strategies to take the product portfolio that we have today, and either as a singular business or across businesses, go to markets outside of Automotive. So we start with that. And Joe Massaro gave a great example as it relates to our Engineered Components business, and marrying up product capabilities between our Winchester business, as well as our Connection Systems business, to pursue opportunities in commercial space. So that takes place across all of our businesses.

Aptiv 2025 Investor Day Transcript

To make meaningful progress as it relates to diversification across industries outside of Automotive, it does require M&A. I would say from the Engineered Components side, we have a long funnel of bolt-on acquisitions that enhance our exposure to markets like Aerospace & Defense, commercial aerospace, broader Industrial. I think from the Intelligent Systems business, the focus is more on partnerships, investments, as well as small potential M&A opportunities that help to build out our software stack or capabilities in other markets.

With respect to specific size, that's a challenge that's challenging to do. I would say bolt-on is where I would characterize those sorts of opportunities. As it relates to financial profile, listen, we evaluate alternatives versus returning cash to shareholders like repurchasing stock. So any sort of M&A deal, like any organic investment, needs to improve the financial profile of our business, from a revenue growth standpoint, from a margin standpoint, and quite frankly, from a revenue diversification standpoint. So it's really multi-layered. It's a great question, but there isn't a specific single number that we could provide you.

Joseph Spak | Analyst, UBS Securities

I'm Joe Spak from UBS. Kevin, maybe to pick up right where you dropped off, I understand you're saying what you're looking for on the M&A side is more tuck-in in nature. But \$4 billion in cash flow, potentially maybe even more cash if there's other portfolio review, that's some decent firepower. So maybe instead of thinking about an individual transaction, if we think about the cumulative impact of M&A over, and I realize it can be lumpy, but if we think over like a three-year, five-year period, do you think M&A can add a point or so to the top line algorithm? Or how do you think about it from that perspective?

Kevin P. Clark | Chair & Chief Executive Officer

Yes. I think both businesses have a very good cash flow dynamics. Certainly, RemainCo, when you think about cash conversion, the amount of cash flow it would generate, it presents multiple opportunities to create value, right? Whether that's returning cash to shareholders or it's completing M&A transactions. To meaningfully diversify our revenue base, and we need to do that in a prudent way, a planned way, it will require M&A. To get to a situation where 40% of our revenues are Non-Automotive, which I would say, in general, is an attractive target. As we sit here today, as long as, again, we can deploy capital in an intelligent way, that's where we'd be focused.

I don't know, Joe, if that adds one point or two points to our growth rate. Clearly, you look at the markets that we operate in, they're growing, based on our forecast, two to three times faster than what we have our forecast for the Automotive market. And the margin profiles tend to be significantly higher. So again, our focus is on taking existing technologies first with our product portfolio that we have today into other markets, and then where can we intelligently augment that.

Joseph Spak | Analyst, UBS Securities

And maybe one on EDS. Like I realize a lot has changed in the environment from earlier this year when you gave some preliminary targets for EDS in January. But the margins did improve by about 200 basis points. So I'm wondering if you could just update us as sort of what as you re-evaluate the change there for the opportunity? And then, somewhat related, you mentioned manufacturing as a margin driver there between rotation to best-cost countries and automation. I think it's giving you a point over the next three years, but it doesn't seem like it maybe would stop in 2028. So maybe you could just give us a sense of where in that journey on those two features you are and what's the opportunity?

Kevin P. Clark | Chair & Chief Executive Officer

Maybe, Joe Liotine, do you want to start, and I can add to it?

Aptiv 2025 Investor Day Transcript

Joseph T. Liotine | Executive Vice President & President, Electrical Distribution Systems

Sure. Thanks, Kevin. Yes. So in terms of our progress this year, we have seen quite a bit of margin improvement, much of that coming from materials, as well as manufacturing improvements from an operational standpoint.

To your point on automation, that's obviously where our future is, and we're striving toward getting more and more automation to our facilities, with every program and every footprint rotation that we take. Over the next three years, we expect about a half a point of margin improvement to come from that automation. Some of that's contingent upon what architectures really present themselves from OEMs, and some of that is fully in our control within the four walls or the confines of our manufacturing facilities. And so that really is the goal.

We think we've demonstrated pretty good progress in 2025. So we have confidence we can hit those goals, and potentially even do better if the market changes a bit in our favor.

Kevin P. Clark | Chair & Chief Executive Officer

If I can just add, I'd say Joe and his team have done an outstanding job from a manufacturing perspective, improving manufacturing performance within the existing four walls through both facility consolidation and rotation. I would say, with respect to automating the manufacturing process, we think we can get to on our own, with existing programs, roughly 30% by the end of the decade, on our own.

We're working with several OEMs now in terms of identifying incremental opportunities, which the constraint there is they will have to change some of their processes, right, to get to the 50% or 60% sort of manufacturing automation as a percent of direct labor hours. But the most important point I want to highlight is that Joe and his team are on a great path as we head into the spin in terms of margin expansion through operational rigor.

Itay Michaeli | Analyst, TD Cowen

Itay Michaeli from TD Cowen. First, just curious on the automotive TAM assumptions for 2028 and 2030, kind of what you're assuming broadly for EV penetration as well as penetration of higher levels of autonomy for L2++ and higher?

Kevin P. Clark | Chair & Chief Executive Officer

Do you want to start?

Varun Laroyia | Executive Vice President & Chief Financial Officer

Let me start with that. So from a global vehicle production perspective, we've obviously kind of given our assumptions underpinning that. From an electrification perspective, we are forecasting mid-teens growth from an electrification perspective.

Now clearly, there are differences between the regions. As Kevin mentioned, North America, we expect to be slower in the next couple of years. But if you think about China, and where China is, for example, and the path that Europe is on, that's what we're currently expecting from an electrification perspective.

Aptiv 2025 Investor Day Transcript

Kevin P. Clark | Chair & Chief Executive Officer

Yes. I think electrification market is roughly 15% global growth. Our outlook from a revenue standpoint is low-double digit growth. And to Varun's point, it varies by region, obviously much slower growth in North America.

As it relates to ADAS and ADAS solutions, broadly speaking, Itay, we can follow up on L2, L2+. We're at roughly high-single, low-double digits from an overall market growth standpoint or rate of penetration standpoint. Our outlook for our Active Safety business, 2025 to 2028, is mid-to-high-single digits.

Itay Michaeli | Analyst, TD Cowen

Terrific. Just as a quick follow-up, how should we think about the kind of content per unit in non-auto verticals like commercial aero drones and even humanoid robots? And as you think about M&A, are there targets of content per unit that you're trying to strive for to gain more scale? Just kind of curious on those.

Kevin P. Clark | Chair & Chief Executive Officer

So the content opportunity now, our real focus is how do we take our existing product portfolio and our capabilities, importantly, like BOM cost reduction, into those markets. We feel like on the AS&UX side of the business as it relates to perception systems, advanced compute, software stack, we have a significant portion of the capability to enter those markets. Go-to-market, those are new markets, different markets from where we operate today. So that would be certainly an area of focus.

As it relates to Engineered Components, it's building out the product portfolio. Maybe, Joe, you can comment on that?

Joseph R. Massaro | Vice Chair & President, Engineered Components

Yes. No, sure. Itay, it certainly varies when you get into the Non-Automotive applications, that traditional content per vehicle or content per sort of device map starts to change really based on the nature of the platform you're on. You're on a fighter jet, obviously significantly more. So your connector content on a relative percent of the BOM is going to be a lot lower.

I think what we try to target, what's important for us, and what's worked really well, is we're very focused on relatively within the component space, products that are a relatively low percentage of the BOM from a cost perspective, but very high cost of failure, right? That's really where we're successful in Automotive, and that's really where we've seen the most success. I referenced the hermetic connectors or the RF connectors. It may be a \$3,000 connector, but it's going into a \$35 billion aircraft, right? But it's an incredibly important component.

And that tends to be for us, a sweet spot, just given our engineering strength, given the quality of our manufacturing, and our delivery capabilities. That's where we really see the opportunity. But the CPV math doesn't necessarily work as consistent across different platforms and different edge devices.

Tom Narayan | Analyst, RBC Capital Markets

Tom Narayan, RBC. Thanks for taking the question. On the topic of the Non-Automotive business, when you look at the 200 basis EBITDA improvement in 2025 to 2028, I know you broke out like three parts of that like sales growth, better mix coming from Non-Automotive business, and cost cutting. Could you maybe dimensionalize those three parts? Is most of it coming from the better mix?

Aptiv 2025 Investor Day Transcript

Varun Laroyia | Executive Vice President & Chief Financial Officer

Yes. No, let me double-click on your question about Non-Automotive. We're specifically talking about New Aptiv, right? And that's the 8% to 10% top line growth that we see. Peeling back that, within the Non-Automotive revenue, we've got Commercial Vehicles, which we expect to kind of grow in line with production of the industry, so call it mid-single digits.

It's the Other Industrials, which we expect to be growing at double digits to get to that blended 8 to 10 points, right? So that's kind of point number one. We've got a great set of bookings on the Commercial Vehicle side and expanding into the Other Industrials also. There is a margin differential, okay? And as Joe just alluded to a couple of minutes ago, the math on the Commercial Vehicles versus other end markets is significantly skewed towards Other Industrial end markets.

The third piece I'll call out is, within our penetration of other end markets, is our software business, which resides within our Intelligent Systems business. And that's growing at mid-teens CAGR, okay? The Software & Services margin profile is significantly different to, say, an Automotive margin profile. So it's a combination of those key pieces, which really is driving not just the 8 to 10 points top line growth for Non-Automotive, but as you kind of peel back the onion and then you think about the margin profile, there is a differential in those pieces.

Kevin P. Clark | Chair & Chief Executive Officer

Maybe the way to think about it, Tom, there's a little bit of overlap between this. But when you look at EBITDA flow-through on RemainCo, for each incremental dollar, excluding foreign exchange and commodity prices, it's roughly 26%, 27% sort of flow-through. Now some of that's the benefit of revenue. Some of that is the benefit of cost actions, although we are investing in engineering as it relates to RemainCo and go-to-market resources for these other markets. But you get the benefit of flow-through from that improved product mix, both software and the Intelligent Systems business, as well as continued strong growth in the Engineered Components side.

If you compare that to the Electrical Distribution Systems business, that EBITDA flow-through is closer to roughly 22% on an EBITDA basis, to put it in perspective. But it's a mix, but product mix is a reasonable portion of that overall 200 basis point expansion.

Tom Narayan | Analyst, RBC Capital Markets

Maybe as a follow-up to that, there was a slide that showed the TAM growth between 2025 and 2030, a lot of it was still Automotive. But then the Non-Automotive was like a much lower point. It looked as though the trajectory after 2030 might be huge. So that 40% you said is like maybe a target for where you want to be in Non-Automotive. How do you view this, I don't know, 15, 20 years from now?

Is that totally going to transform where you guys are going to be?

Kevin P. Clark | Chair & Chief Executive Officer

Well, we haven't gone out 20 years, to be honest. But listen, the trends that we talk about, right – Automation, Electrification, Digitalization – and it's something we spent a lot of time on as a management team and quite frankly with our Board. They are trends accelerating across multiple industries. And a bigger piece of that is advanced hardware and software solutions. The trends towards separating hardware and software, it's consistent across all these markets.

Aptiv 2025 Investor Day Transcript

As we have business outside of Automotive, consistently those customers are coming to us with not only what do we bring from a technology standpoint, but how can we help them with the bill-of-materials so that they can actually commercialize the technologies that they're developing, whether that be robots, drones, other areas regardless of applications or markets.

So we believe there's real opportunity. And yes, you can paint a picture where it's significant exposure, and it is a very different business. As I mentioned to you, I'd say informally, we want to make sure that our plan delivers roughly 40% of our revenues are Non-Automotive revenues. And we're leveraging technology, which is consistent across markets, in those other markets so that, one, we can leverage the capability, but two, we can leverage the investment and have enhanced margins. So I hope that answers your question.

Colin Langan | Analyst, Wells Fargo

Colin Langan, Wells Fargo. If I look at the growth CAGRs in today's Investor Day, it's pretty consistent, even with EV slowing, for the EDS and the connector business, but a big step down in Intelligent Systems. I think it was last Investor Day, you were talking 10% over market. Now you're talking 6% to 7% overall. Why the slowdown in those markets?

And any color, I think you mentioned Active Safety is growing sort of mid-to-high-single digits. Any color on the sub-components there? Is User Experience really dragging that down a lot?

Kevin P. Clark | Chair & Chief Executive Officer

Yes. I would say relative to our prior Investor Day, impacting, quite frankly, all of our segments is the slowdown in EV adoption. That probably accounts for roughly a 60% to 70% reduction in overall revenue growth. And again, I would say that's across EDS, Connection Systems, and AS&UX. I think the second part as it relates to Intelligent Systems, sorry about that, is Smart Vehicle Architecture™ getting pushed out a bit.

Now Smart Vehicle Architecture™ revenues were never a big part of the 2022 to 2025 sort of time frame. Revenues started to show up in a more meaningful way beginning in 2026 and 2027. So I would say that would be that second leg, Colin, that would have some impact on the growth outlook of that business today versus what we had previously.

Colin Langan | Analyst, Wells Fargo

I guess a follow up on User Experience. I mean just from the comments, I think over half of the business is Active Safety, which is mid-to-high, the average growth is closer to the mid. Does that imply User Experience, which is the other big business is barely growing?

Kevin P. Clark | Chair & Chief Executive Officer

Our outlook for User Experience and some of the other product areas within the Intelligent Systems business is mid-single digits.

Colin Langan | Analyst, Wells Fargo

Then what's dragging the growth down if that's mid-single and the others are mid-to-high?

Aptiv 2025 Investor Day Transcript

Kevin P. Clark | Chair & Chief Executive Officer

Mid-to-high-single digits, I said, on the Active Safety area, and it mixes out to that sort of mid-single digit growth rate, right?

Steven Fox | Analyst, Fox Advisors

Hello, Steve Fox from Fox Advisors. I guess I had an EDS question. So Joe, you talked about a lot of where you're best-in-class across a lot of different metrics. How far would you sort of talk about, I don't know how much you want to give away, but talk about how far you are ahead of competition on some of those metrics, whether it's manufacturing, full-systems? And then just a quick follow-up, what is the relationship, the supplier relationship, with Aptiv connectors after the spin for EDS?

Kevin P. Clark | Chair & Chief Executive Officer

So, Joe, why don't you touch base, especially on full-service versus our other customers, and then I'll talk about the relationship between EDS and connection systems?

Joseph T. Liotine | Executive Vice President & President, Electrical Distribution Systems

Okay. Great. Yes. So from an engineering standpoint, we talked quite a bit about it in the presentation. You really do have an integrated suite of tools, that are proprietary, that are built in-house.

And we know that's a big contributor to our early engagement, the number of times we're in pre-development with customers. And, as a consequence, greater than 75% of our business is designed architectures, so full-service solutions. That's definitely not the industry average. It's not public, and we don't necessarily know what the industry average is, but we know in general, we're disproportionately perceived as the leader. And so customers come to us for that service.

You combine that with how we interplay that into manufacturing, and we bring that technology into manufacturing to provide the best solutions with the best quality and the best scalability. And then our overall footprint is also quite different from our competitive set, in terms of where we're present, in what countries, in what regions, and the proximity to our customers.

So the comparison to competitors, they don't necessarily have visibility of all of that. That's not our information. But we know, in general, we're built a little differently. Our results in this capacity in terms of full-service are a little different. And, as a consequence, we generally do better in the most complex businesses, complex harnesses, because of those tools.

Kevin P. Clark | Chair & Chief Executive Officer

I would say if I can add to Joe's comment. I think if you're supporting or serving Automotive customers, you have to be competitive from a cost structure standpoint. You have to be. And I think in the EDS business, having observed it for the last several years, I think there's two pieces. One is that program mix that we talked about, full-service. The other is just ability to execute extremely well in very complex situations.

As it relates to the relationships between, I would say, RemainCo and our broader portfolio of businesses, because we all do some element of business with EDS. So obviously, we have transition services agreements that include everything from IT support and other items, as well as, for a period of time, commercial agreements, so that we make sure as we separate, there's literally no impact on our customer base. So commitments on the RemainCo side, as well as the EDS side.

Aptiv 2025 Investor Day Transcript

Dan Levy | Analyst, Barclays

Dan Levy, Barclays. I know we spent a lot of time on the earnings call in the past talking about the China dynamics, the growth relative to the underlying China market. And I know you talked about expanding your exposure with the domestic OEMs. How confident are you that in this upcoming three-year period that these growth headwinds from customer mix in China will be addressed? And maybe you could just talk to, if you are increasing your mix of revenue with domestic Chinese OEMs, that the margin on that business is going to be in line with the TotalCo business as opposed to being dilutive to the overall margin mix?

Varun Laroyia | Executive Vice President & Chief Financial Officer

Yes, absolutely. So kind of starting off with New Aptiv, and then I'll kind of go to EDS. From a penetration of our Local China OEMs exposure, over the past couple of quarters, you've kind of heard us talk about the cumulative year-to-date bookings being about 85% in China with Local Chinese OEMs; point number one, that will flow. The second one is in China, at this point of time, there's about 5 million to 6 million units that are being exported outside China. We have a growing business on that front, which on a run-rate basis this year, will do about \$300 million. The third point is a number of the Chinese domestic OEMs are looking to put down sticks in regions outside China. We are well positioned on that front also.

Talking about the businesses, if you think about our Engineered Components business, it is the one that is, I'd say, the furthest along its revenue exposure to China domestic businesses, Local OEMs, followed by AS&UX [Intelligent Systems], which arguably is smaller. And then EDS with its bookings will also ramp up.

And your final point was about margins. Yes, while it is a competitive market, all markets are competitive. Our teams out there continue to work through value engineering, working with an indigenous supply base, whether it be footprint rotation in addition to that, so moving from the East Coast further inland to the western parts of China. They have just done an outstanding job to make sure that the margins across all three businesses are not dilutive.

Dan Levy | Analyst, Barclays

And as a follow-up, I wanted to go back to the topic of EDS margins. You talked a lot about automation. I think we know that the wire harness area is an area that the automakers have the BOM really down pat; they know it really well. And I think this is an area where because of the inflation in recent years, it's been tough to price that out. So I want to understand, is automation here a necessity just to offset underlying wage inflation? Can you expand margins even if the growth in that business is flattish?

Kevin P. Clark | Chair & Chief Executive Officer

Joe, do you want to answer?

Joseph T. Liotine | Executive Vice President & President, Electrical Distribution Systems

Yes. So overall, we've shown a lot of progress this year on overall manufacturing results and costs. Part of that is automation, part of that is just performance elements. In addition, we have footprint opportunities that also contribute to that equation, and that's value accretive for us as well. And so then automation ends up playing multiple roles.

It helps defer some cost on labor, certainly, but it also helps quality. It helps other things in the factory. And so we're pursuing different variations of automation depending on where we are in the manufacturing process, from final assembly to kind of

Aptiv 2025 Investor Day Transcript

receiving testing and shipping. And all of those generally have a pretty good return for us. So of course, they help defer the labor cost, but they also help margin.

And so in our plan, we have about a half point of margin increase over the 2030 period as a result of automation increases. So we do believe it is accretive in addition to the cost coverage.

Kevin P. Clark | Chair & Chief Executive Officer

I think, Dan, one thing I would say. Listen, I think from an Automotive standpoint, the business model is over a protracted period of time, no growth makes it challenging to expand margins, right? That is the reality. I think Joe's team, quite frankly, the Aptiv team – so Javed, Joe Massaro, and Joe Liotine's team – has done a very good job as it relates to as we see labor inflation, going to customers about labor inflation and areas of opportunity to offset that, working with them, whether that be just pure commercial or it be an element of footprint rotation or automation of the manufacturing process. So that's a part of what we work in.

I think the second piece is, as it relates to automation, it's not just about labor inflation. The reality is the complexity of harnesses, the size of harnesses, the ability for hands to actually assemble harnesses is getting much more complicated and challenging. So there's an element of automation that you need at a minimum in certain parts of the assembly process.

Betsy Miller Frank | Vice President, Investor Relations

Okay, I think we have time for one more question. There is one in the back.

James Picariello | Analyst, BNP Paribas

James Picariello from BNP Paribas. On EDS, regarding the addressable content per vehicle slide where you have 2030 baseline versus 2030 optimized. Can you help unpack what's actually embedded in the optimization? And to what extent does that help drive the 200 basis points of margin expansion to 2028 for EDS?

Joseph T. Liotine | Executive Vice President & President, Electrical Distribution Systems

Yes. So on that slide, we were depicting kind of the evolution. And so think about it as architectures require more in-cabin, autonomous has more demand. So we're building out more complex architectures to meet those needs. That's accretive.

Then from an optimization standpoint, we're finding ways, depending on the architecture and the customer to take out copper, to take out other complexities that don't drive a lot of value, they're essentially cost. And so some of that has to do with what platform it's on, and some of that has to do with us being able to provide full-service solutions to get out the best idea possible. So it's a combination of both.

And we're essentially saying, even with those optimizations, what we're taking out, in large part, is copper, which is dilutive. And if you look at that slide, you also see we actually forecast continued price compression of about one, one and a half points in addition to the optimization.

So we're really just trying to depict that there are net tailwinds even after all those events. The faster we adopt EVs, hybrids, other things, that's even more beneficial because all those vehicles, in theory, in practice, essentially carry more content and more requirements, and that's good for us. So that slide, that 1% CAGR is essentially saying that factoring in all of that, based

Aptiv 2025 Investor Day Transcript

on what we see, it's still a good thing for us, as opposed to maybe some of the commentary that wasn't sure about that previously.

Kevin P. Clark | Chair & Chief Executive Officer

And I would just add, so that's not a fully optimized, Smart Vehicle Architecture™ sort of solution, right? That's an optimized kind of legacy vehicle architecture program for Aptiv.

James Picariello | Analyst, BNP Paribas

Got it. And this was already hit on, but I just want to take a shot for more clarity. As we think about New Aptiv to 2028, 4 to 7 points of revenue growth, 200 basis points of margin expansion. What would you say is the specific contribution from Non-Automotive towards both those targets? And within the 2028, \$14.5 billion of sales, what is the implied Non-Auto revenue mix?

Kevin P. Clark | Chair & Chief Executive Officer

So today to frame it up, 4% to 7% growth, Non-Automotive growth, which includes both Commercial Vehicle, as well as Other Industrial, growing low-double digits. Margin profiles obviously favorable on the Non-Automotive side. Software growing, Varun talked about, mid-teens, at a margin profile of kind of 25%. So I think if you take the starting point that we showed you, you can back into a range of what those numbers could look like.

Varun Laroyia | Executive Vice President & Chief Financial Officer

James, just to add to what Kevin said. If you think about Non-Automotive, pro forma for New Aptiv, approaching \$3 billion at this point of time, from the \$12.5 billion. By the time we get to 2028, our forecasts are that we get to almost \$4 billion in Non-Automotive revenue. That includes Commercial Vehicles, right? So I just want to kind of give you that. And as you think about the growth trajectory algorithm that Kevin just mentioned, from the 24 points of revenue in today's state for Non-Automotive, we would expect it to grow roughly about 1 point a year over the next few years just organically.

Betsy Miller Frank | Vice President, Investor Relations

Okay, back to you, Kevin.

Kevin P. Clark | Chair & Chief Executive Officer

All right. So maybe I'll wrap up with the team here. So just a couple of takeaways that I noted as we were going through today, and I just wanted to reinforce to everyone.

So I'm going to start with EDS. And I want to make sure everybody knows, EDS is the market leader in vehicle architecture, the market leader, and that's reflected in the customer mix, the program mix, the full-service mix. And it's obviously translated into a very strong financial profile, which, as Joe has said, we're in a position to continue to enhance. So plenty of opportunities there from a growth within Automotive, as well as potentially outside of Automotive.

Aptiv 2025 Investor Day Transcript

As it relates to New Aptiv and it aligns with the question Tom asked earlier. Listen, the secular trends are continuing, right? And they're touching a number of industries outside of our primary industry, the Automotive industry. And we've, over the last several years, been very purposeful about building out a product portfolio that benefits from these secular tailwinds, as well as very focused on how we diversify revenues with customers, within regions, as well as across markets. And again, that, in our view, presents a real tailwind. There's real opportunities in the Automotive market; we're very focused on continuing to serve our customers and continuing to grow there. But we also think there's real opportunities where we can bring the product portfolio that we have today, the capabilities that we've developed in Automotive, to customers who are very focused on performance, delivery, execution at low cost.

So it's not just solving the technical problem, it's solving the commercial problem for a number of the industries that we've talked about. And we think there's real opportunity to do that. And we validated that with our conversations, our programs, our existing business, with several customers. And that presents new meaningful opportunities for profitable growth, which we believe will position the business to continue, as well as EDS, to create significant shareholder value, which is our principal focus – creating significant shareholder value.

So with that, thanks, everyone, for their time. We appreciate you joining us. I think we have lunch at the end. So if you have more questions, we're happy to follow up with you while we're here. So thank you.

Note: This transcript is a reproduction of remarks made during the live presentation, and has been edited for readability, clarity, and accuracy, including the removal of repeated phrases and verbal fillers, correction of verbal inaccuracies, and other non-substantive conversational elements inherent in extemporaneous speech. No material changes to the content or meaning have been made.